

Indegene

BUY

Embedded in pharma's DNA, powered by proprietary AI

Summary

Large, underpenetrated market opportunity: Indegene's addressable market depends on pharma commercialization, medical affairs and regulatory outsourcing with an estimation at over USD 40bn by 2033, yet Indegene's FY26 revenue represents well under 0.2% of this opportunity. Rising drug development costs, patent cliffs, and increasing outsourcing by pharma companies provide a long runway for sustained double-digit growth.

AI that expands margins, not erodes them: Unlike typical IT services, where AI productivity gains get passed back to clients as pricing cuts, Indegene increasingly bills per outcome (per document, per campaign) rather than per hour. Its proprietary Cortex and NEXT platforms trained on pharma-specific regulatory data and let capture efficiency gains as margin rather than surrendering them to procurement.

Irreplaceable client relationships: Indegene serves all of the world's top-20 biopharma companies, with deeply embedded, multi-year workflows spanning regulatory writing, safety reporting and marketing. Switching costs run into millions of dollars and take years to replicate. This creates a durable moat that is extremely difficult for competitors (whether IT majors or boutique agencies) to break into or dislodge.

Fast-growing "Beyond-20" client base: Beyond its top-20 anchor clients, Indegene's smaller emerging-biotech and mid-sized pharma accounts nearly doubled from 27 to 53 (USD 1mn+ clients) since IPO. This diversifies revenue away from client concentration risk while tapping into a structurally growing pool of innovation-led biopharma companies with limited in-house commercialization capability.

Clean balance sheet, strong cash generation: Indegene is debt-free with healthy net cash, and operating cash flow has exceeded reported profit every year since listing which is a rare quality in small/mid-cap growth stories. This gives the company flexibility to self-fund acquisitions, pay rising dividends, and weather short-term volatility without diluting shareholders or straining its balance sheet.

Attractive valuation based on growth compared to peers: Despite offering 18-20% projected revenue & PAT growth rate and is comparatively cheaper than the several Mid-cap IT services companies with slower growth rates, Indegene is trading at roughly 18-20x forward earnings FY27E/FY28E. As the only pure-play, India-listed life sciences commercialization specialist, it lacks a direct comparable which allows Indegene a unique position to demand a premium which market hasn't fully priced in yet.

We initiate coverage on Indegene with a BUY rating and a target price of INR 620, valuing the stock at 22.5x FY28E EPS, implying ~22% upside. We forecast FY26-28E revenue/PAT CAGR of ~18%, supported by expanding margins, strong cash conversion, and a durable pharma-outsourcing moat.

TP **Rs 620**

CMP **Rs 508**

Potential upside/downside **22%**

Key Stock Data

Bloomberg	INDGN
Sector	Healthcare Tech.
Shares o/s (mn)	241
Market cap. (Rs mn)	1,22,318
3-m daily avg Trd value(Rs mn)	195.28
52-week high / low	596 / 415
Sensex / Nifty	76,766 / 23,985

Price Performance (%)

	-1m	-3m	-12m
Absolute	(2.2)	1.6	(7.2)
Rel to Sensex	(1.8)	1.8	(2.1)

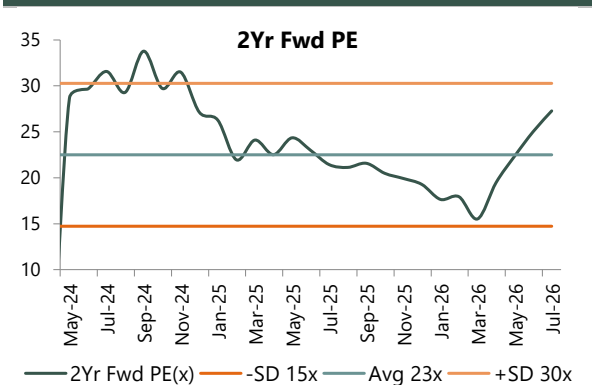
V/s Consensus

EPS (Rs)	FY27E	FY28E
IDBI Capital	23.7	27.6
Consensus	21.4	26.8
% difference	11.0	3.1

Shareholding Pattern (%)

Promoters	NA
FII	9.9
DII	5.3
Public	84.8
Total	100

PE Chart



Source: IDBI Capital Research

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Executive Summary

Indegene is a Bengaluru-headquartered, India-listed company that helps large global pharma companies market, launch and manage their drugs — everything from medical writing and regulatory paperwork to AI-powered marketing campaigns aimed at doctors and patients. Think of it as a specialized outsourcing partner sitting between big pharma and their day-to-day commercial and medical operations, rather than a traditional IT services company.

The business case is straightforward. Indegene works with all of the world's top-20 biopharma companies, and these relationships are sticky — once embedded in a client's workflows (running safety reporting, managing thousands of marketing assets, writing regulatory documents), switching costs run into the millions and take years to unwind. In FY26, top-20 clients contributed ~72% of revenue, but the more exciting growth is coming from smaller "Beyond-20" clients — emerging biotech and mid-sized pharma companies — where we see significant uptick in smaller accounts (>USD 0.25mn - <USD 1mn). This diversifies the business away from a handful of large customers. AI is a genuine tailwind here, not a threat. Indegene has built proprietary AI platforms (Cortex, NEXT) trained specifically on pharma's regulatory and scientific language, something generic AI tools like ChatGPT can't easily replicate given the compliance and domain complexity involved. Because Indegene increasingly charges per outcome (per document reviewed, per campaign run) rather than per hour worked, AI-driven efficiency gains flow to Indegene's margins rather than getting passed back to the client as savings which is a rare setup where AI helps the vendor, not just the customer.

The business is in good shape: no debt, strong cash generation (operating cash flow has exceeded reported profit every year since listing), and a large, high-quality client base that keeps expanding wallet share. Revenue grew ~24% in FY26, aided partly by acquisitions, with organic growth also healthy. A large new deal with its biggest client (expected to cross USD 50mn in FY27) shows Indegene can win and execute large, complex, multi-year contracts. The stock isn't expensive relative to its growth. It trades at roughly 18-20x earnings of FY27E/FY28E, cheaper than several Indian IT-services peers with much slower growth, and Indegene is really the only pure-play, India-listed company doing this specific kind of work at scale — most global comparable (EVERSANA, Syneos) are private.

Risks worth watching are (1) a large share of revenue still comes from a small number of clients (2) recent acquisitions need to integrate smoothly and (3) US drug-pricing reforms create some sentiment overhang, though history suggests pricing pressure tends to push pharma companies toward more outsourcing, not less.

Valuation Outlook

Indegene's numbers tell a simple story: this is a fast-compounding business with a genuinely clean balance sheet. FY26 revenue came in at INR 35,105mn, up ~24% YoY, and Q4FY26 alone crossed INR 10,000mn for the first time, growing 32.8% YoY. The company is debt-free, holds more cash than debt, and delivers ROE of ~17% and ROCE of ~18%, delivered strong returns for a business that ties up very little capital in plant or inventory. Growth looks broad-based rather than a one-off; large clients paying over USD 1mn/year have grown to 53, North America (~74% of revenue) remains the fastest-growing region, and Enterprise Commercial Solutions (~72% of sales) continues to be the main engine.

Because Indegene runs an asset-light, people-driven model, its cost base is mostly technology platforms, senior talent and delivery infrastructure — meaning each additional rupee of revenue gets cheaper to serve once the upfront investment is made. Revenue per employee has climbed from ~USD 56K to ~USD 75K in three years, aided by AI-led productivity gains. FY27E EBITDA margin dips slightly to ~18.1% on recent acquisition costs, but should recover to ~18.6% by FY28E as integration completes and AI investments start paying off — with ROCE climbing steadily from 17.8% to 18.9% over FY26-28E. The Q4FY26 margin softness (down 180bps YoY) reflects investment, not weakening demand.

At current levels, the stock trades at ~30x trailing earnings but only ~21.4x FY27E and ~18.4x FY28E EPS — well below its own historical peak multiples of 34-43x. Applying a fair through-cycle multiple of ~22.5x to FY28E earnings gives us a target price of Rs 620. We believe this premium is justified: Indegene is the only listed, pure-play life sciences commercialization company at scale, with global rivals like EVERANA and Syneos (both are private), and its 18%+ earnings growth comfortably supporting a valuation toward the lower-middle end of Indian IT-services peer range.

DCF Calculation

DCF Assumption

Terminal Growth rate	3.0%	
Risk free rate	6.8%	10 year G-Sec bond
Beta	0.73	
Equity Risk Premium	5.2%	
Market Return	12.0%	Nifty 50 10 Year CAGR
Cost of Equity	10.6%	
Cost of Debt	0.0%	
WACC	10.6%	
WACC-g (for perpetual growth)	7.6%	

Source: Company, IDBI Capital Research

	Stage 1					Stage 2					TV
	FY27E	FY28E	FY29E	FY30E	FY31E	FY32E	FY33E	FY34E	FY35E	FY36E	
CFO	4,051	5,874	6,843	7,972	9,287	10,653	12,219	14,015	16,075	18,438	
Capex	(200)	(200)	(209)	(219)	(230)	(240)	(252)	(263)	(276)	(289)	
FCFF	3,851	5,674	6,634	7,753	9,058	10,412	11,967	13,751	15,799	18,149	2,46,100
Discounted FCF	3,592	4,784	5,058	5,345	5,646	5,869	6,099	6,337	6,583	6,837	92,713
Equity Value	1,48,861										
No. of Shares	240										
Share Price	620										

Source: Company, IDBI Capital Research

Sensitivity Analysis

Weighted Average FCF Growth Rate vs Terminal Growth Rate

Terminal Growth Rate							
Share Price	620	2.8%	3.0%	3.3%	3.5%	3.8%	4.0%
Weighted Average FCF Growth rate	14.0%	559	571	583	597	612	628
	14.3%	567	579	592	606	621	637
	14.5%	575	587	600	615	630	646
	14.8%	583	596	609	624	639	656
	15.0%	591	604	618	633	648	665
	15.3%	600	613	627	642	658	675
	15.5%	608	622	636	651	668	685
	15.8%	617	631	645	661	677	695
	16.0%	626	640	655	670	687	706

Source: Company, IDBI Capital Research

WACC vs Terminal Growth Rate

Terminal Growth Rate							
Share Price	620	2.4%	2.6%	2.8%	3.0%	3.2%	3.4%
WACC	9.8%	666	679	692	706	721	737
	10.0%	646	657	670	683	697	711
	10.2%	626	637	648	661	673	687
	10.4%	607	617	628	640	652	664
	10.6%	589	599	609	620	631	643
	10.8%	573	582	591	601	611	622
	11.0%	556	565	574	583	593	603
	11.2%	541	549	557	566	575	585

Source: Company, IDBI Capital Research

Peer Comparison (Global + Domestic)

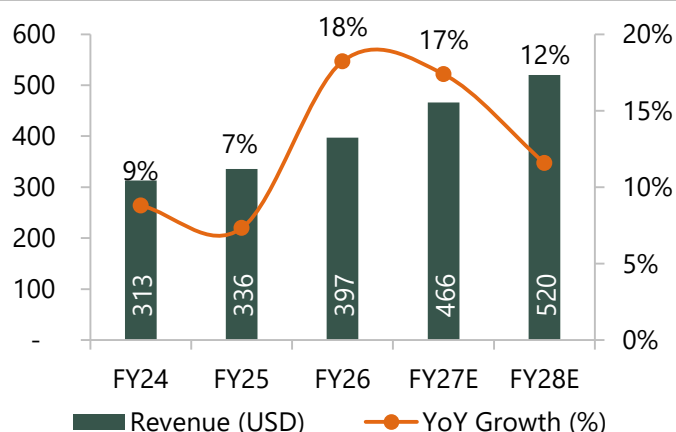
	Revenue Growth						EBITDA Margins					
	FY23	FY24	FY25	FY26	FY27E	FY28E	FY23	FY24	FY25	FY26	FY27E	FY28E
IQVIA Holdings Inc	4.0%	2.8%	5.9%	6.0%	5.7%	6.0%	21.8%	22.6%	21.4%	23.1%	23.3%	23.4%
Accenture PLC	4.2%	1.2%	7.4%	5.7%	4.1%	5.1%	18.6%	19.2%	19.2%	18.7%	18.9%	19.0%
Cognizant Technology Solutions Corp	-0.4%	2.0%	7.0%	5.6%	5.0%	5.5%	18.2%	18.4%	19.5%	18.4%	18.8%	19.1%
ICON PLC	4.0%	1.7%	0.8%	-2.3%	3.1%	4.6%	18.5%	18.6%	10.0%	16.5%	17.1%	17.5%
Thermo Fisher Scientific Inc	-4.6%	0.1%	3.9%	7.2%	5.4%	6.1%	24.8%	25.2%	24.5%	25.8%	26.4%	27.0%
Indegene Ltd*	38.5%	12.3%	9.6%	23.6%	24.2%	12.4%	17.2%	19.5%	18.8%	17.6%	18.0%	19.0%
Persistent Systems Ltd	46.2%	17.6%	21.6%	23.5%	22.9%	21.3%	18.2%	17.1%	17.2%	19.0%	18.8%	18.8%
Tata Elxsi Ltd	27.3%	13.0%	5.0%	0.8%	12.7%	10.6%	30.6%	29.5%	26.1%	22.5%	24.8%	26.1%
Happiest Minds Technologies	30.8%	13.7%	26.8%	12.3%	13.9%	12.5%	25.1%	20.7%	17.2%	17.7%	18.1%	18.5%
L&T Technology Services	34.2%	9.4%	-0.1%	14.0%	9.8%	10.2%	20.0%	19.9%	18.6%	17.6%	18.6%	19.1%
Coforge Ltd	24.6%	12.4%	33.8%	36.1%	38.4%	15.2%	16.0%	16.3%	14.4%	18.6%	19.9%	19.9%
Sagility Ltd	0.0%	12.7%	17.2%	29.1%	18.9%	12.1%	24.8%	23.5%	24.3%	25.8%	24.3%	24.3%
Firstsource Solutions Ltd	2.0%	5.8%	26.0%	20.5%	16.5%	10.5%	3.9%	3.9%	10.4%	9.9%	10.8%	12.6%

Source: Company, IDBI Capital Research; (*Reported EBITDA Margins)

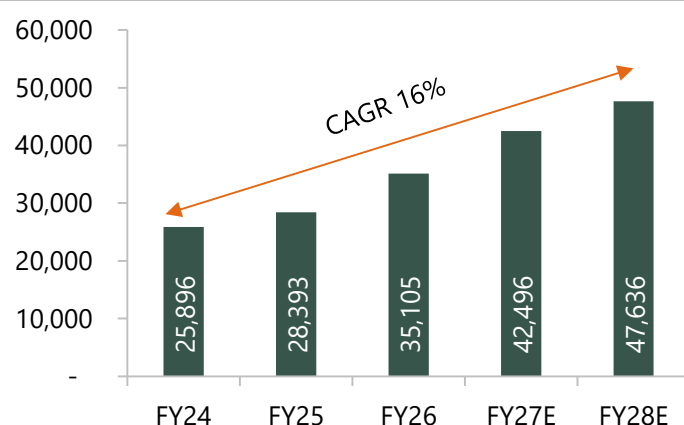
	PAT Margins						ROE					
	FY23	FY24	FY25	FY26	FY27E	FY28E	FY23	FY24	FY25	FY26	FY27E	FY28E
IQVIA Holdings Inc	9.1%	8.9%	8.3%	7.5%	13.0%	13.4%	17.8%	22.1%	21.7%	22.7%	28.1%	27.2%
Accenture PLC	10.7%	11.2%	11.0%	11.4%	11.8%	12.1%	28.8%	26.9%	25.8%	24.9%	25.7%	24.6%
Cognizant Technology Solutions Corp	11.0%	11.3%	10.6%	11.5%	12.2%	12.6%	18.7%	16.0%	16.6%	14.9%	17.3%	16.6%
ICON PLC	6.9%	9.0%	2.8%	7.0%	10.8%	11.3%	6.1%	6.9%	7.5%	4.7%	8.0%	8.3%
Thermo Fisher Scientific Inc	14.0%	14.8%	15.0%	15.2%	20.0%	20.5%	13.2%	13.2%	13.0%	13.5%	17.0%	17.3%
Indegene Ltd	11.5%	13.0%	14.3%	11.4%	11.7%	13.1%	29.1%	27.0%	20.1%	13.9%	15.5%	16.9%
Persistent Systems Ltd	11.0%	11.1%	11.7%	12.6%	12.8%	12.6%	25.1%	24.5%	24.8%	26.3%	26.7%	26.7%
Tata Elxsi Ltd	24.0%	22.3%	21.0%	16.7%	23.5%	23.9%	41.0%	34.5%	29.3%	21.3%	26.7%	25.4%
Happiest Minds Technologies	16.2%	15.3%	9.0%	9.2%	10.8%	11.3%	30.7%	21.4%	12.1%	13.0%	15.9%	17.1%
L&T Technology Services	13.7%	13.5%	13.1%	11.6%	12.6%	13.0%	27.5%	26.7%	22.2%	20.4%	21.9%	22.1%
Coforge Ltd	8.7%	9.0%	6.7%	9.5%	10.3%	10.7%	23.9%	24.1%	16.2%	19.5%	17.7%	17.4%
Sagility Ltd	3.4%	4.8%	9.7%	12.9%	13.8%	14.4%	2.8%	3.6%	7.3%	10.3%	11.5%	12.2%
Firstsource Solutions Ltd	8.6%	8.1%	7.4%	7.0%	8.5%	9.0%	16.1%	14.6%	15.2%	15.9%	20.2%	20.8%

Source: Company, IDBI Capital Research

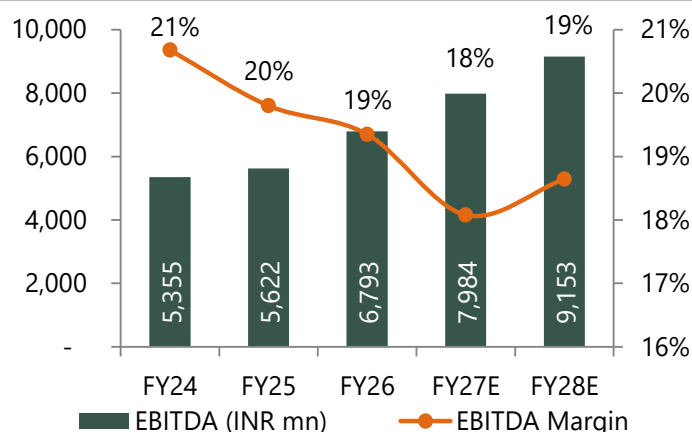
Story in Charts

Exhibit 1: Revenue (USD mn) / Growth (%)


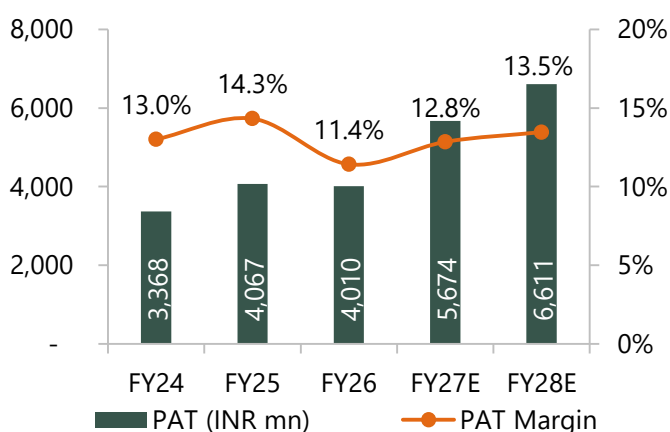
Source: Company, IDBI Capital Research

Exhibit 2: Revenue (INR mn) / CAGR (%)


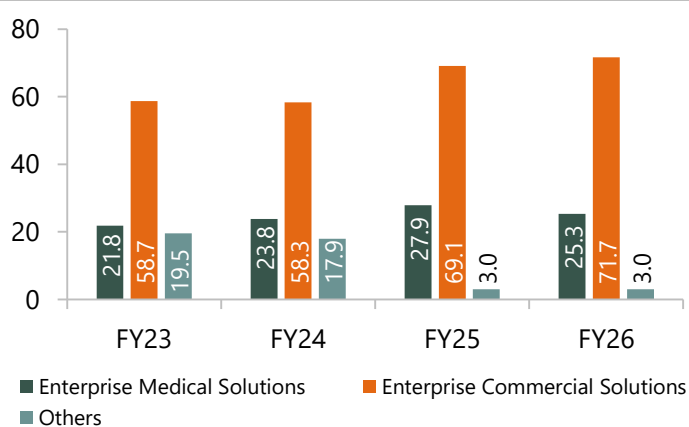
Source: Company, IDBI Capital Research

Exhibit 3: EBITDA / Margin (%)


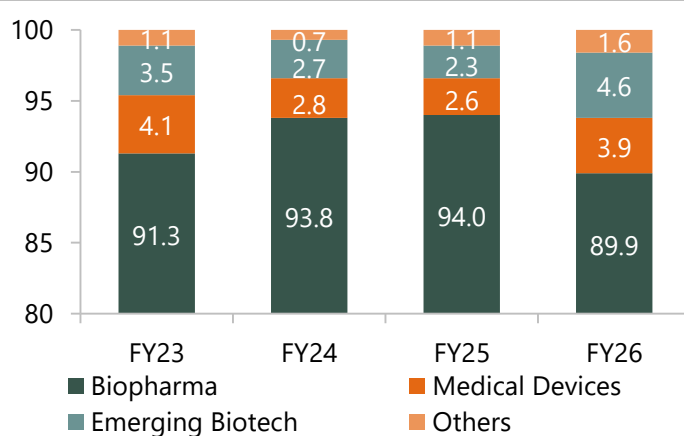
Source: Company, IDBI Capital Research

Exhibit 4: PAT/PAT margin (%)


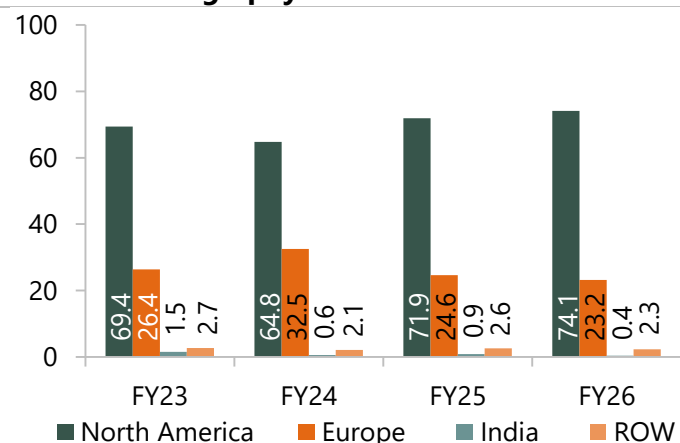
Source: Company, IDBI Capital Research

Exhibit 5: Segment wise mix


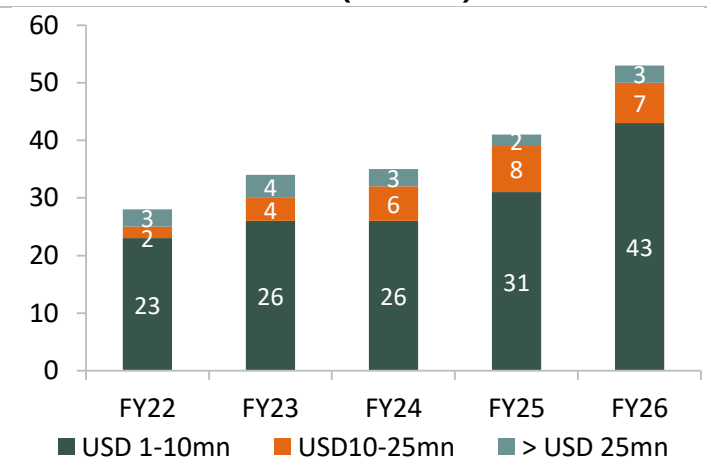
Source: Company, IDBI Capital Research

Exhibit 6: Industry wise mix


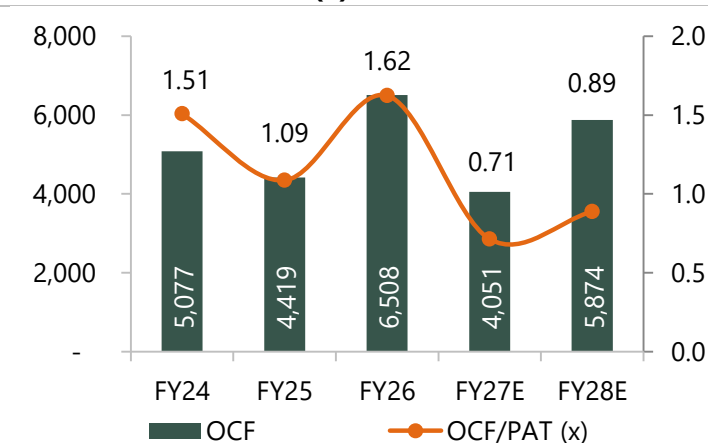
Source: Company, IDBI Capital Research

Exhibit 7: Geography wise mix

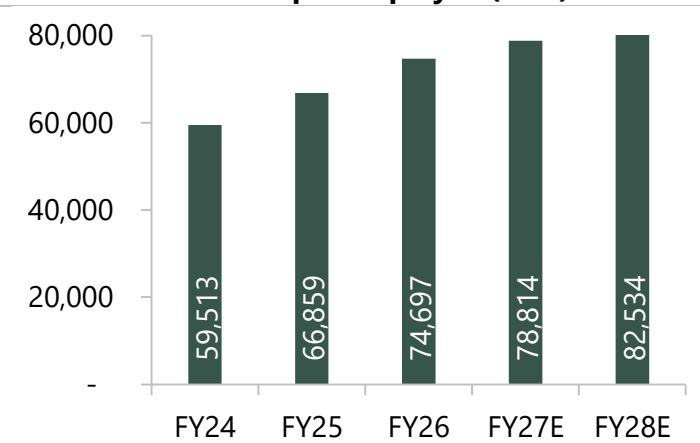
Source: Company, IDBI Capital Research

Exhibit 8: No. of clients (USD mn)

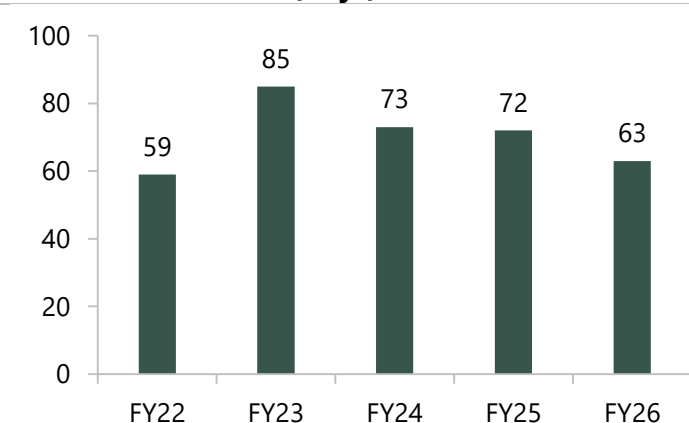
Source: Company, IDBI Capital Research

Exhibit 9: OCF to PAT (x)

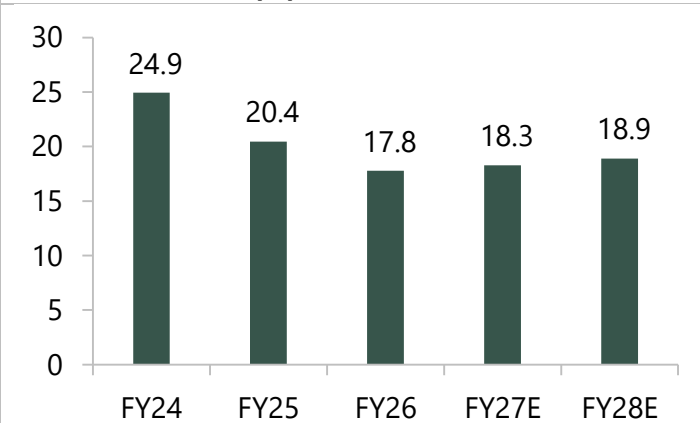
Source: Company, IDBI Capital Research

Exhibit 10: Revenue per employee (USD)

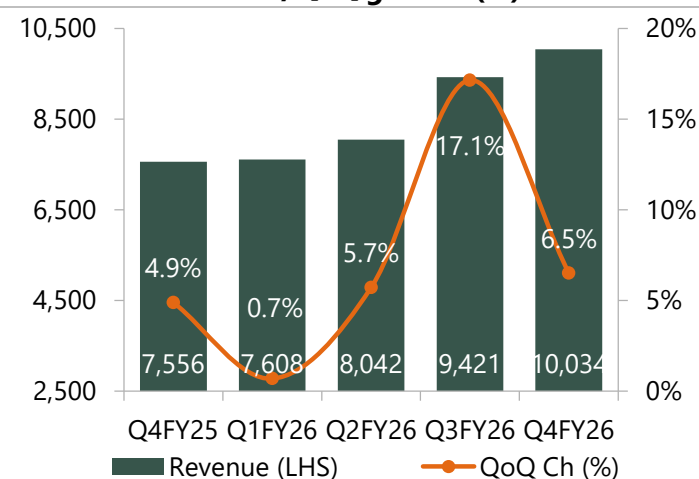
Source: Company, IDBI Capital Research

Exhibit 11: Net DSO (Days)

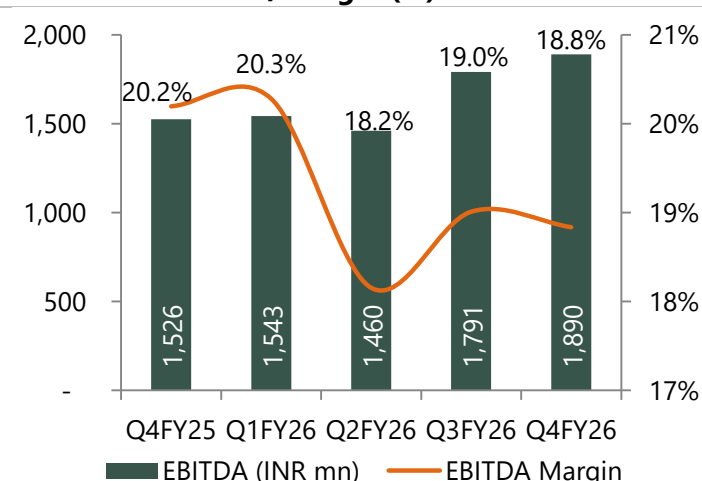
Source: Company, IDBI Capital Research

Exhibit 12: ROCE (%)

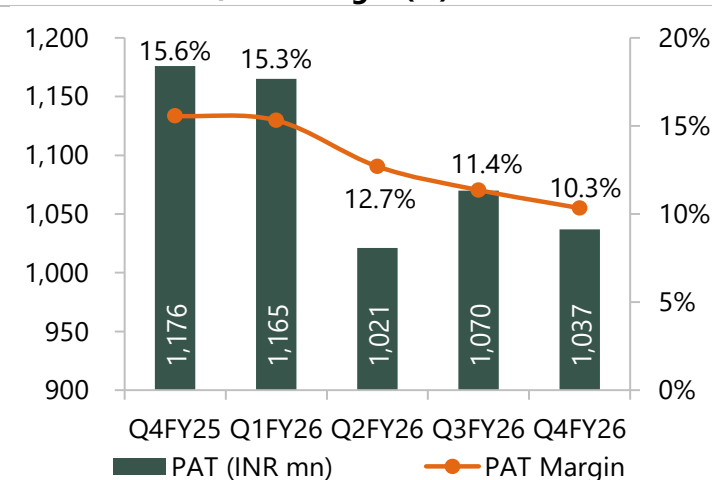
Source: Company, IDBI Capital Research

Exhibit 13: Revenue/QoQ growth (%)

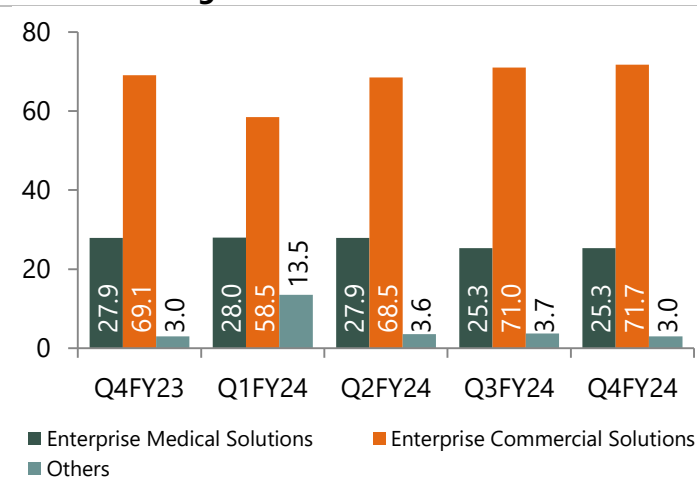
Source: Company, IDBI Capital Research

Exhibit 14: EBITDA/Margin (%)

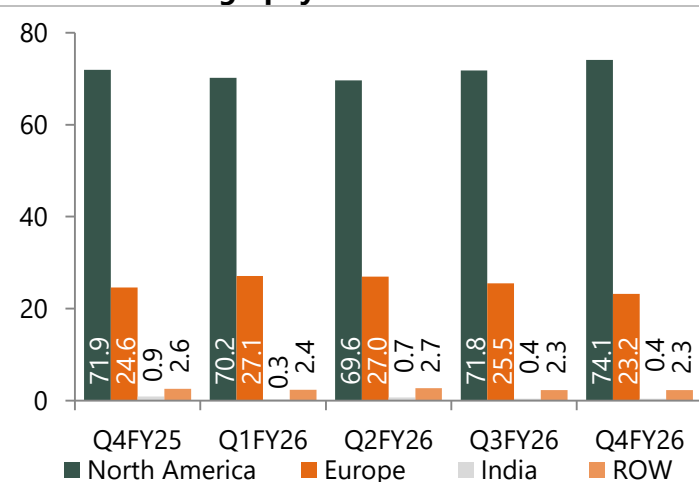
Source: Company, IDBI Capital Research

Exhibit 15: PAT/PAT margin (%)

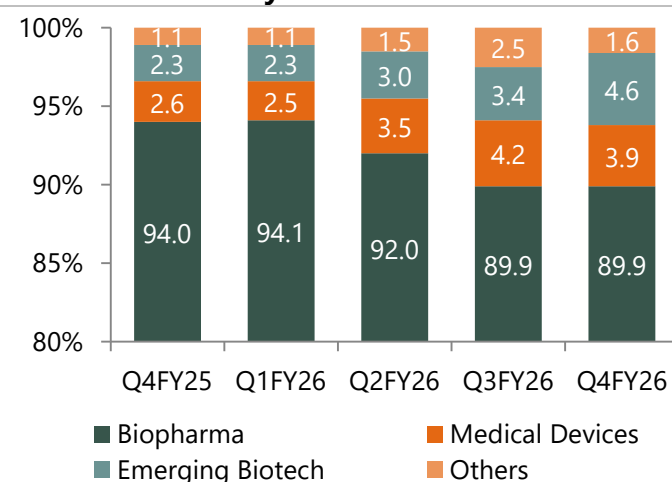
Source: Company, IDBI Capital Research

Exhibit 16: Segment wise mix

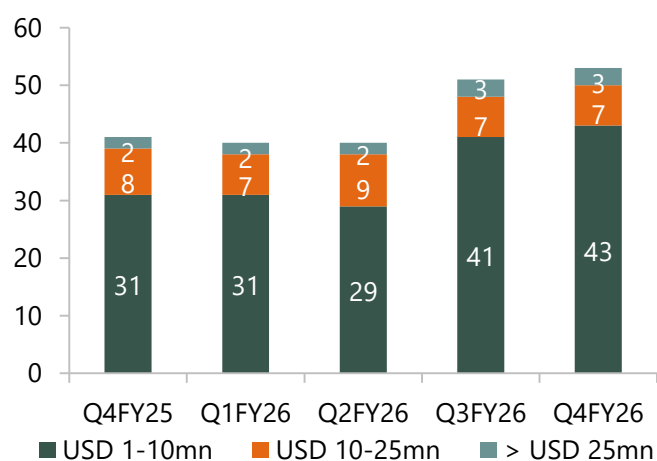
Source: Company, IDBI Capital Research

Exhibit 17: Geography wise mix

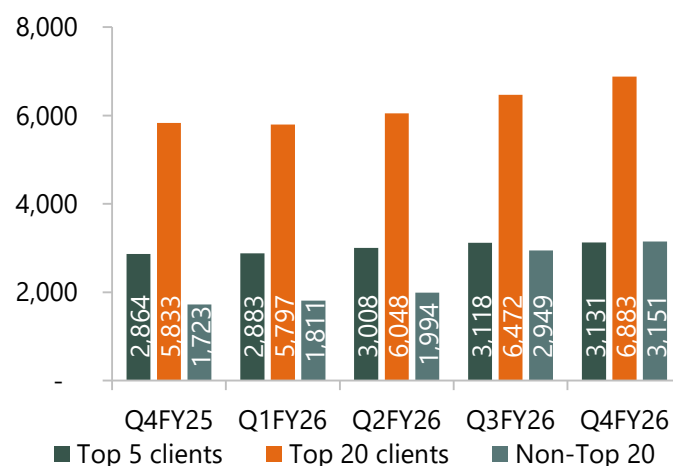
Source: Company, IDBI Capital Research

Exhibit 18: Industry wise mix

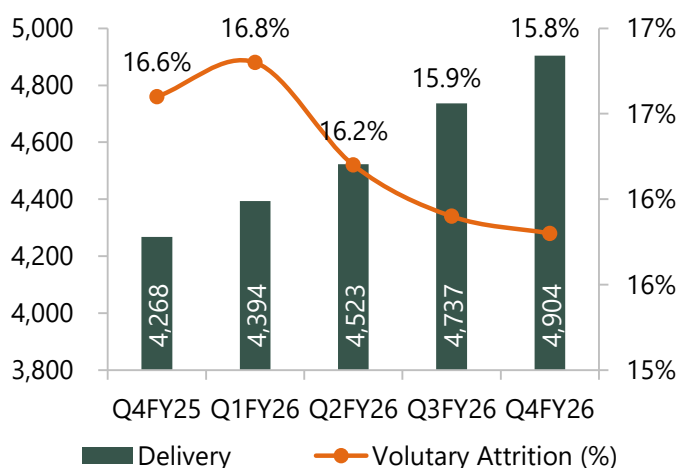
Source: Company, IDBI Capital Research

Exhibit 19: No. of clients (USD mn)

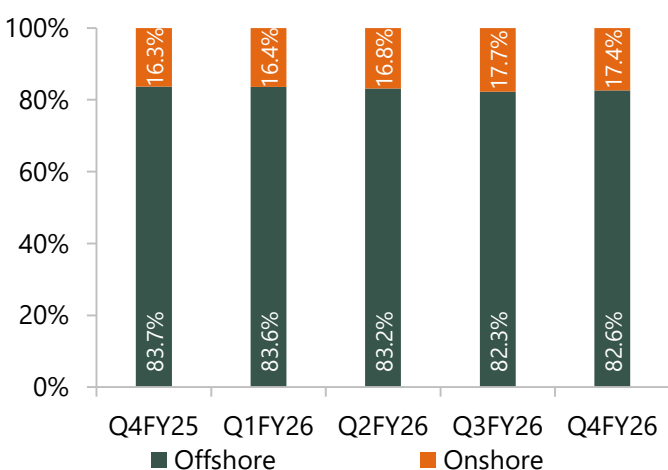
Source: Company, IDBI Capital Research

Exhibit 20: Client concentration

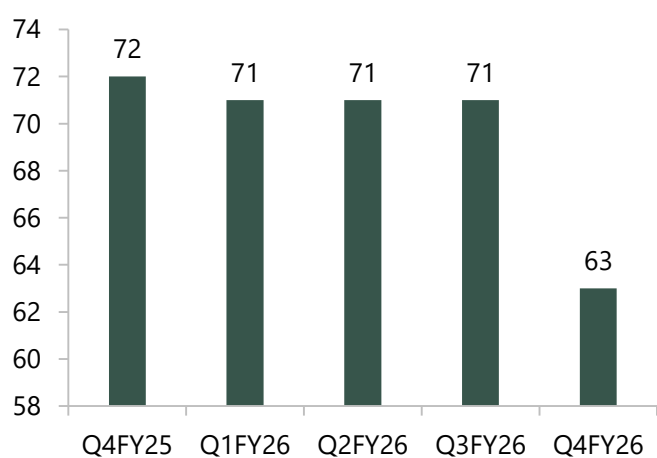
Source: Company, IDBI Capital Research

Exhibit 21: Head count/Attrition

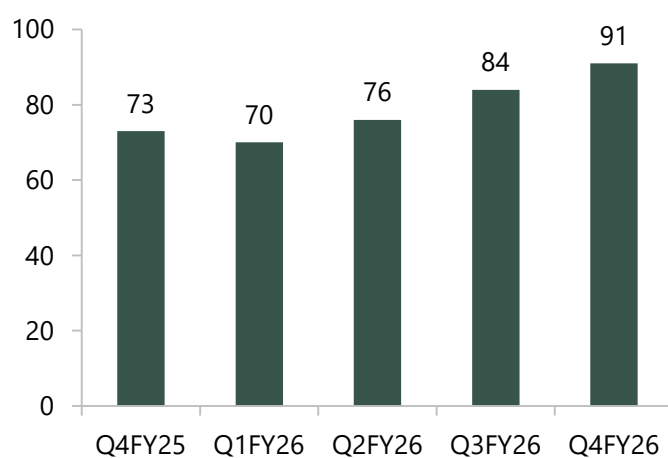
Source: Company, IDBI Capital Research

Exhibit 22: Employee mix

Source: Company, IDBI Capital Research

Exhibit 23: DSO

Source: Company, IDBI Capital Research

Exhibit 24: Active clients

Source: Company, IDBI Capital Research

Company Background

Founded in 1998, Indegene Limited is a digital-first life sciences commercialization company headquartered in Bengaluru, India. The Company enables biopharmaceutical, emerging biotech, and medical device companies to develop, launch, and scale the impact of their products by combining deep healthcare domain expertise, fit-for-purpose proprietary technology, and an agile global operating model. Indegene operates at the intersection of healthcare and technology, describing its purpose as enabling healthcare organizations to be "future-ready," and its vision as being the trusted partner to healthcare organizations for improved health outcomes.

The Carlyle Group and Brighton Park Capital invested USD 200mn in Indegene in 2021, and the Company listed on the NSE and BSE in 2024. Over more than two decades, Indegene has expanded from Indian medical-education services into a full commercialization value-chain partner with a global delivery footprint spanning North America, Europe, and Asia, supported by multiple value-accretive acquisitions (e.g., CultHealth, MME, Trilogy, MJL Life Sciences).

Indegene operates through 9 delivery hubs and 19 offices worldwide, spanning North America (Princeton, Durham, Oxford, Los Angeles), Europe (London, Cambridge, Cork, Frankfurt, Binningen, Madrid), and Asia-Pacific (Bengaluru, Mumbai, Hyderabad, Singapore, Shanghai, Tokyo), enabling round-the-clock, multi-language client engagement. Majority of the revenue come from developed markets; North America contributed 71.6% and Europe 25.5% of FY26 revenue, with India and the rest of the world together contributing just below 3%.

Business Model

Indegene provides capabilities and expertise across the entire commercialization value chain of a drug or medical device — from R&D/clinical development, through medical & regulatory affairs and pharmacovigilance, to sales & marketing which underpinned by a data, analytics and technology layer. Solutions are delivered through two principal models that includes (i) Enterprise-wide Centers of Excellence (CoEs), an technology-enabled teams of domain experts and GenAI agents delivering integrated, multi-year solutions; and (ii) Digital Omnichannel

Activation, powered by the NEXT Omnichannel Commercial Intelligence and Invisage platforms for hyper-personalized HCP/patient engagement. Correspondingly, Indegene monetizes through two revenue models including (i) resource-utilization/fixed-price (unitized) billing, and (ii) outcome-based pricing for select omnichannel activation work.

Exhibit 25: Global Delivery model



Source: Annual Report 2025, IDBI Capital research

Unique positioning built on domain expertise, proprietary platforms and deeply embedded client relationships

We believe Indegene has built a differentiated competitive position at the intersection of life sciences domain expertise, technology and AI, making it difficult for both traditional IT services companies and healthcare communications agencies to replicate. Unlike horizontal IT vendors, Indegene combines deep scientific knowledge with end-to-end commercialization capabilities spanning medical affairs, regulatory operations, pharmacovigilance, omnichannel marketing, commercial analytics and digital customer engagement. As of FY26, 27.3% of its delivery workforce comprised healthcare-qualified professionals, including physicians, pharmacists and PhDs, enabling the company to support highly regulated workflows that require strong scientific and clinical understanding.

Technology has become an increasingly important differentiator. Indegene has developed a portfolio of proprietary AI-enabled platforms, including the NEXT suite for content creation, MLR automation, omnichannel engagement, and medical writing & safety operations, supported by Cortex, its LLM-agnostic GenAI orchestration platform introduced in FY25.

These platforms automate repetitive workflows, improve productivity and embed Indegene more deeply into clients' operating models, increasing switching costs over time.

Client relationships provide another structural advantage. Indegene has longstanding engagements with all of the world's top-20 biopharma companies, with a significant share of revenue generated from this cohort. The company's "land-and-expand" strategy has consistently increased wallet share by broadening services across functions and geographies. We believe this combination of domain expertise, proprietary technology and sticky client relationships creates a durable competitive moat and positions Indegene to benefit from the long-term outsourcing and AI-led transformation of the global life sciences industry.

Exhibit 26: Revenue by service lines (FY26)

Service Line	Share of FY26 Revenue	What it Covers
Enterprise Commercial Solutions	70.1% of FY26 revenue	Sales & marketing operations — personalized omnichannel campaigns, content supply chain, and go-to-market execution for HCP/patient engagement, powered by NLP and GenAI tools.
Enterprise Medical Solutions	26.5% of FY26 revenue	Medical affairs, regulatory, and pharmacovigilance Centers of Excellence — medical writing, MLR review automation, adverse-event processing, and regulatory submission support.
Others (Enterprise Clinical Solutions & Consultancy)	3.4% of FY26 revenue	Digitally enabled patient recruitment, clinical data management, regulatory-submission assistance, and consulting via subsidiary DT Consulting.

Source: Investor presentation, Annual reports, IDBI Capital Research

Exhibit 27: Corporate milestones

Period	Milestones
1998	Indegene founded; entered medical education services for Indian pharma companies
2005-2011	US and Southeast Asia expansion; entered Regulatory Affairs, Safety and Analytics services
2013-2017	Acquisitions of TTM, Skura, SmartCare and Encima build omnichannel, analytics and population-health capabilities
2019-2021	Carlyle Group / Brighton Park invest USD 200mn; MME acquisition strengthens pricing & market access
2022-2023	CultHealth acquisition (brand experience); new strategic center opened in Germany
2024	Listed on NSE and BSE; new global delivery center in Hyderabad; Trilogy Writing & Consulting (medical writing) acquired
2025	MJL Life Sciences acquisition (UK healthcare communications); new entities/offices in Spain and London; Cortex GenAI platform launched
2026	BioPharm Communications acquisition strengthening commercialization portfolio solidifying its position as a true category leader in data-driven Omnichannel and Media Space.
2026	WARN & CO. acquisition acquiring a 100% equity stake to strengthen Indegene's life sciences consulting and business transformation capabilities.
2026	Acquired Cake Kommunikations Group (Cake Health), Austria-headquartered, for up to €8.5 million (\$9.8 million) through its subsidiary.
2026	Q4FY26 revenue crosses INR 1,000cr for the first time; FY26 full-year revenue crosses INR 3,500cr

Source: Annual Report, IDBI Capital Research

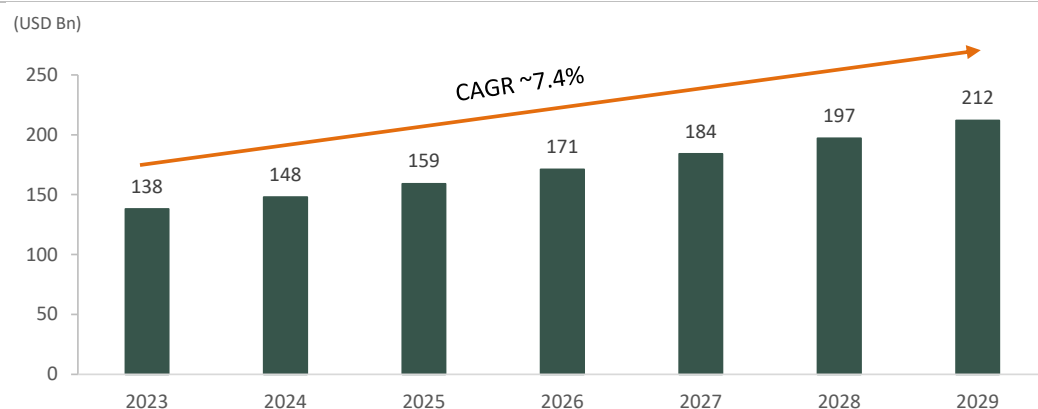
Industry overview

Differentiated Positioning and AI-Driven Commercialization Underpin a Long Structural Growth Opportunity

A large and underpenetrated addressable market provides a long growth runway

Indegene is well positioned at the intersection of three structurally attractive markets that continue to benefit from rising pharmaceutical innovation, increasing outsourcing and accelerating AI adoption. First, the company is leveraged to the global pharmaceutical R&D ecosystem, where annual industry spending exceeds USD 300bn, with the world's top-20 biopharma companies accounting for approximately USD 180bn of R&D investment in 2024. As more innovative therapies progress from clinical development to commercialization, demand for regulatory, medical affairs and commercial support services is expected to increase. Second, Indegene participates in the pharma contract commercialization (CCO) market, estimated at USD 5–6bn by Meditech Insights and projected to grow at around 5% CAGR through 2029, driven by increasing outsourcing of commercial operations by global pharmaceutical companies.

Beyond this, the broader pharmaceutical commercialization services opportunity, including omnichannel engagement, medical affairs, digital content operations, commercial analytics and AI-enabled customer engagement is significantly larger. Industry estimates suggest the market could exceed USD 40bn by 2033, while the wider pharmaceutical commercialization solutions and services market is projected to expand from USD 138bn in 2023 to USD 212bn by 2029 (~7.4% CAGR). Against this backdrop, Indegene generated USD 397mn of revenue in FY26, representing well below 0.2% of its addressable opportunity. We believe this low market penetration, combined with increasing outsourcing, vendor consolidation and AI-led productivity initiatives, provides a long tail for sustainable double-digit growth over the medium term.

Exhibit 28: Pharmaceutical Commercialization Solutions and Services

Source: Frost & Sullivan (Pharmaceutical Commercialization Solutions and Services Industry, Global 2024-2029). Indegene's FY26 revenue represents <0.2% of this TAM, IDBI Capital Research

Exhibit 29: Market Landscape Summary — Representative Estimates by Segment

Market Segment	Scope	Representative Base Year (USD bn)	Base Year	Representative Forecast (USD bn)	Forecast Year	Representative CAGR	Source
Pharma Commercialization Outsourcing	Pharma Contract Sales Outsourcing	9.67	2025	13.19	2031	5.30%	mordorintelligence.com, Jan 2026
Medical Affairs Outsourcing	Medical writing, MSLs, Medical Informations, pharmacovigilance	2.53	2025	5.11	2031	12.43%	mordorintelligence.com, Jan 2026
Regulatory Affairs Outsourcing	Regulatory consulting, Submission and legal representation	9.08	2025	13.8	2030	8.74%	mordorintelligence.com
Omnichannel Pharma Sales	Omnichannel Pharma Sales (physical + digital + remote channels)	N/A	2024	41.6	2033	15.40%	htfmarketinsights.com, Jan 2026
Commercial Pharma Analytics	Commercial/pharma analytics & life science analytics	28.04	2025	132.77	2035	16.50%	researchnester.com Feb 2026
AI in Life Sciences	AI software & services across drug discovery, trials, commercial	21.58	2026	69.34	2031	26.30%	marketsandmarkets.com, May 2026

Source: IDBI Capital Research

Structural growth drivers for Indegene

Five structural trends are expected to support long-term expansion of the life sciences commercialization services market, with demand driven more by industry fundamentals than short-term sentiment. First, rising drug development costs—with estimates suggesting the cost of bringing a successful new molecule to market has reached approximately USD2–3bn when accounting for clinical failures and capital costs—are encouraging pharmaceutical companies to seek greater operating efficiencies across non-core functions. Commercialization and selling expenses remain one

of the largest cost pools outside R&D, creating meaningful opportunities for technology-enabled outsourcing.

Second, the industry faces a significant patent cliff, with approximately USD350bn of branded pharmaceutical revenue exposed to loss of exclusivity during 2025–2029, increasing pressure on companies to maximize the commercial potential of existing brands while accelerating launches of next-generation therapies such as GLP-1s, antibody-drug conjugates (ADCs), and cell and gene therapies.

Rising drug costs, patent expirations, weak R&D returns, growing biopharma start-ups needing outsourced support, and new AI tools are all pushing pharma companies to outsource commercialization, benefiting players like Indegene.

Third, declining R&D returns, with industry R&D internal rates of return compressing to low single-digit levels (~4%), highlight the need to improve productivity across the pharmaceutical value chain. Fourth, the rapid growth of emerging biopharma companies is creating a large pool of innovation-led companies with strong pipelines but limited internal commercialization capabilities, increasing reliance on specialized partners. IQVIA's Global Trends in R&D 2025 report highlights that emerging biopharma companies accounted for the majority of clinical trial starts in 2024, reinforcing the structural importance of this segment.

Finally, the emergence of GenAI is creating new opportunities across medical writing automation, MLR review, regulatory workflows and omnichannel engagement. With its combination of life sciences domain expertise, technology platforms and global delivery capabilities, Indegene is well-positioned to benefit from the increasing adoption of AI-enabled commercialization models.

Indegene occupies a differentiated position at the intersection of life sciences expertise, technology and global delivery

The global pharmaceutical commercialization services market is evolving rapidly as large biopharmaceutical companies increasingly seek integrated partners capable of supporting complex commercial, medical and regulatory workflows. The competitive landscape is broadly divided into three categories.

The first category comprises large diversified life sciences service providers such as IQVIA, ICON, Parexel and Syneos Health. These companies benefit from significant scale, established pharmaceutical relationships and broad clinical-to-commercial capabilities. However, commercialization represents only one component of their wider businesses, creating opportunities for more specialized players focused exclusively on pharmaceutical commercialization transformation.

The second category includes specialized commercialization companies such as EVERSANA, Real Chemistry and Avalere Health. These players have developed strong capabilities in areas including market access, medical communications, healthcare engagement and real-world evidence. However, the market remains fragmented, with many companies possessing expertise in individual segments rather than an integrated end-to-end commercialization platform. Recent consolidation, including Fishawack Health's combination with AMO Communications to form Avalere Health and EVERSANA's expansion through acquisitions, highlights the increasing importance of scale and broader capability offerings.

The third category consists of global technology services companies such as Accenture, Cognizant and Wipro, which have established healthcare and life sciences practices. These companies bring strong digital transformation capabilities but typically operate through a broader technology services model rather than a specialized pharmaceutical commercialization platform with deep regulatory, medical and scientific expertise.

Pharma services have three types of players — big diversified firms, specialized-commercialization companies, and tech giants. Indegene sits uniquely between them, combining life sciences expertise, technology and India-based delivery to gain market share.

We believe Indegene occupies a differentiated position at the intersection of these three segments. The company combines regulatory-grade life sciences expertise, proprietary technology platforms and an India-led global delivery model, enabling pharmaceutical clients to improve productivity while maintaining domain quality and compliance. Its capabilities across medical affairs, regulatory operations, commercialization, analytics and AI-enabled workflows provide a broader offering compared with niche specialists, while its focused life sciences orientation differentiates it from diversified technology providers.

Indegene has also followed a targeted capability expansion strategy through organic investments and acquisitions, including Trilogy Writing & Consulting (medical writing), BioPharm Communications (commercial and scientific communications), WARN & Co. (medical communications) and Cake Kommunikations (European healthcare communications). These investments strengthen the company's ability to support pharmaceutical clients across the entire commercialization lifecycle.

We believe the ongoing consolidation of the pharmaceutical services ecosystem and increasing demand for integrated, technology-enabled outsourcing partners create a favorable environment for Indegene to expand wallet share among global biopharmaceutical companies.

North America remains the largest opportunity, while India continues to strengthen its position as a global delivery hub

The United States remains the world's largest pharmaceutical market, with prescription drug spending exceeding USD 600bn in 2024, accounting for nearly half of global pharmaceutical spending. The size of the US market combined with high innovation intensity and frequent new product launches, makes North America the largest consumer of commercialization, medical affairs, regulatory and digital transformation services. Europe represents the second-largest market, supported by major pharmaceutical hubs such as Germany, the UK, Switzerland and France, where large multinational pharmaceutical companies continue to invest in commercialization, regulatory compliance and lifecycle management. Meanwhile, Asia-Pacific is the fastest-growing region, driven by mature pharmaceutical markets such as Japan and Australia, together with increasing R&D investment and pharmaceutical manufacturing in India and China.

US leads global pharma spending, Europe follows, and Asia-Pacific grows fastest. Indegene earns mostly from North America and Europe, reducing reliance on India's domestic pharma market.

Although, much of the delivery work is executed from India and other global capability centers, the end customers continue to be predominantly large pharmaceutical companies headquartered in North America and Europe. This creates a structural advantage for Indian healthcare services providers that possess deep life sciences expertise, regulatory knowledge and scalable global delivery capabilities.

Indegene's geographic revenue profile mirrors the industry structure. Approximately two-thirds of the company's revenue comes from North America, while about one-quarter comes from Europe and remaining balance comes from India/RoW. This diversified client base significantly reduces the company's dependence on the Indian pharmaceutical market and limits exposure to domestic pricing regulations, including the National Pharmaceutical Pricing Authority (NPPA) framework. Instead, Indegene's growth is directly proportional to long-term outsourcing trends among global pharmaceutical companies, particularly in commercialization, medical affairs, regulatory operations and AI-enabled digital transformation.

AI is redefining pharmaceutical commercialization, favouring integrated technology-enabled operating partners

We believe the pharmaceutical commercialization ecosystem is entering a structural transformation driven by enterprise-wide GenAI adoption, vendor consolidation and increasing demand for outcome-oriented delivery models. Rather than deploying AI in isolated workflows, leading

global biopharmaceutical companies are increasingly re-platforming commercial, medical and regulatory operations around integrated digital ecosystems that improve productivity, accelerate content generation and strengthen regulatory compliance. In addition to that, pharmaceutical companies are rationalizing fragmented agency relationships in favour of strategic partners capable of delivering end-to-end commercialization, medical affairs, regulatory operations and omnichannel engagement through a unified operating model.

Indegene appears well positioned to benefit from this transition through its proprietary Cortex AI platform and the NEXT suite of AI-enabled solutions, including NEXT Medical Writing Automation, NEXT MLR Review Automation, NEXT Adverse Events Management, and NCCA (Next Commercial Content Authoring). These platforms automate document generation, MLR review, pharmacovigilance workflows and modular content creation while maintaining enterprise-grade governance and regulatory compliance. Publicly disclosed case studies indicate that NEXT MLR Review Automation can deliver 50–60% cost savings, improve submission quality to over 90%, reduce review cycles to approximately 24 hours, and accelerate approval timelines by around 28%, illustrating the productivity benefits that pharmaceutical companies increasingly seek from AI-enabled operating partners.

Pharma is shifting to AI-driven, unified commercialization models. Indegene's Cortex and NEXT platforms boost efficiency and compliance, positioning it to gain from this outcome-based outsourcing shift.

We also expect commercial engagement models to evolve beyond traditional time-and-material contracts towards pricing structures increasingly linked to measurable business outcomes such as productivity improvements, faster turnaround times, compliance quality and commercial effectiveness. Such platform-led engagements should improve scalability, deepen client integration and expand wallet share over time as multiple point solutions are consolidated under a single strategic partner. Given its combination of deep life sciences expertise, proprietary AI platforms and global delivery capabilities, we believe Indegene is well positioned to capture a disproportionate share of this structural shift. Unlike traditional CROs, whose focus is primarily clinical development, Indegene operates at the intersection of commercialization, medical affairs, regulatory operations and AI-enabled digital transformation, positioning the company to benefit from the next phase of technology-led outsourcing across the pharmaceutical value chain.

GCC Expansion and India's Biosimilar Leadership Reinforce Indegene's Global Delivery Model

India serves as Indegene's global delivery and capability hub rather than a domestic pharma growth play

India's relevance to Indegene is primarily driven by its position as a global life sciences capability and delivery centre rather than its domestic pharmaceutical consumption market. While India's pharmaceutical industry continues to expand, with the overall market estimated at approximately USD55 billion in FY25 according to IBEF and expected to grow significantly over the coming years, Indegene's opportunity is linked more closely to India's growing role in supporting global biopharmaceutical companies.

India matters to Indegene as a talent and delivery hub, not a consumer market. Skilled professionals and cost efficiency help it serve global pharma clients affordably.

India has emerged as a preferred destination for life sciences outsourcing due to its combination of scientific talent, cost competitiveness and established regulatory expertise. Over the past two decades, the country has developed a deep pool of professionals across medical writing, regulatory affairs, pharmacovigilance, clinical operations, biostatistics, medical communications and healthcare analytics, making it an attractive delivery base for global pharmaceutical companies.

This trend is reinforced by the expansion of pharmaceutical Global Capability Centers (GCCs) and increased investment by multinational pharmaceutical companies in India. Leading global companies have established or expanded operations across Bengaluru, Hyderabad, Chennai, Pune and Gurugram, strengthening India's position as a strategic hub for life sciences technology, analytics and operations.

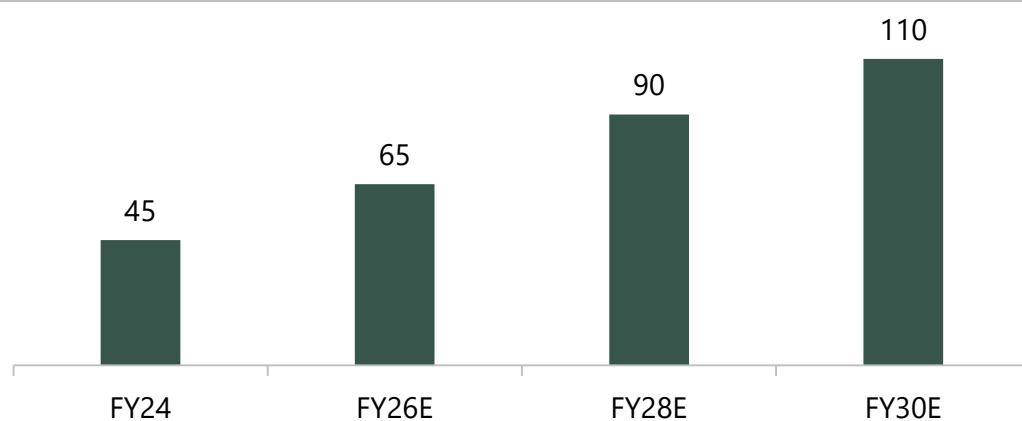
While domestic-focused pharmaceutical companies such as Sun Pharma, Dr. Reddy's Laboratories, Cipla and Lupin are primarily driven by domestic formulations, exports and product pipe lines, Indegene's business model is aligned with a different structural opportunity—the outsourcing of global pharmaceutical commercialization, medical affairs and regulatory operations. The company leverages India's talent ecosystem to deliver high-value, technology-enabled services to global biopharma clients, particularly in North America and Europe.

We believe India's emergence as a global life sciences operating hub provides a durable competitive advantage for Indegene by combining domain expertise, delivery scalability and cost efficiency, enabling the company to participate in the long-term transformation of pharmaceutical commercialization.

Life sciences GCCs are expanding rapidly, but they are more complementary than disruptive to Indegene's business model

India has emerged as one of the world's leading destinations for Global Capability Centres (GCCs), supported by its large skilled workforce, strong digital infrastructure and cost competitiveness. According to industry estimates, India currently hosts around 30 to 40 dedicated life sciences GCCs, with many of the world's largest pharmaceutical companies—including AstraZeneca, Novartis, Roche, Pfizer, Sanofi, GSK, Bristol Myers Squibb and Eli Lilly—expanding their operations across Bengaluru, Hyderabad, Chennai, Pune and Gurugram over the past few years. At the broader level, the Indian GCC industry is expected to grow to USD100–110bn by 2030, according to NASSCOM and Zinnov, reflecting continued confidence in India as a global delivery hub.

Exhibit 30: Commercial/Medical services with GCC (USD bn)



Source: Company, IDBI Capital Research

Initially, investors viewed the rapid expansion of GCCs as a potential threat to outsourcing companies such as Indegene. However, the operating models of pharmaceutical GCCs and the specialist healthcare service providers are increasingly proving to be complementary rather than directly competitive.

Most pharmaceutical GCCs primarily support enterprise-wide capabilities such as digital technology, data engineering, finance, human resources, procurement and shared business services. While many centres are expanding into advanced analytics, AI, pharmacovigilance support and selected clinical operations, pharmaceutical companies continue to rely heavily on external specialists for highly regulated, domain-intensive and scalable activities such as medical affairs, regulatory operations, medical writing, commercialization, omnichannel engagement, content production and market launch support. These functions require deep therapeutic expertise, global regulatory knowledge and the flexibility to scale up the resources rapidly across products and geographies.

India hosts many pharma GCCs, but these mainly handle enterprise functions, not specialized regulatory or commercial work. This makes GCCs complementary, not competitive, to Indegene's expertise-driven services.

We therefore believe the growth of life sciences GCCs should be viewed as a positive structural development for Indegene rather than a disruptive one. As pharmaceutical companies continue to expand their in-house strategic capabilities, they also require specialized external partners to manage variable workloads, accelerate product launches and support increasingly complex regulatory and commercial operations. Indegene's combination of life sciences expertise, proprietary AI platforms and global delivery capabilities positions the company well to benefit from this evolving operating model.

India's expanding life sciences ecosystem provides a strong long-term advantage for Indegene

India's life sciences ecosystem is entering a structural growth phase, supported by rising global outsourcing, a strong talent base and increasing investment in pharmaceutical innovation. According to IBEF, the Indian Contract Research, Development and Manufacturing Organization (CRDMO) market was valued at approximately USD7.3bn in 2023 and is expected to expand significantly over the next decade. A joint BCG–IPSO report estimates that the industry could reach USD22–25bn by 2035, implying a growth rate of around 15% annually. Despite this strong outlook, India currently accounts for only 2–3% of the global CRDMO market, highlighting a significant opportunity to gain market share as global pharmaceutical companies continue to diversify their supply chains beyond traditional manufacturing hubs.

Several structural factors support this opportunity. India offers a competitive cost structure, a large pool of scientific talent and growing capabilities in complex therapies such as antibody-drug conjugates (ADCs), biologics and cell and gene therapies. In addition, global pharmaceutical companies are increasingly adopting a China+1 sourcing strategy, while geopolitical developments and proposed legislation such as the US BIOSECURE Act are encouraging diversification of pharmaceutical manufacturing and research partnerships. These trends are expected to accelerate outsourcing to trusted destinations such as India over the coming decade.

India's CRDMO and bio-economy sectors are growing fast, backed by strong talent and global outsourcing trends. Though not a CRDMO, Indegene benefits from this expanding life-sciences ecosystem.

The industry still faces execution challenges, including the need to significantly expand its skilled workforce, strengthen domestic raw material suppliers and improve regulatory approval timelines. Recognizing these bottlenecks, leading Indian pharmaceutical companies have formed the Indian Pharmaceutical Services Organisation (IPSO) to improve collaboration, strengthen capabilities and enhance India's global competitiveness in pharmaceutical services and manufacturing.

Beyond manufacturing, India's broader life sciences ecosystem has also strengthened considerably. According to the Department of Biotechnology, India's bio-economy has expanded nearly ten-fold over the past decade to exceed USD100bn. The country today has the largest number of US FDA-compliant pharmaceutical manufacturing facilities outside the United States, more than 2,000 WHO-GMP compliant manufacturing plants, and exports pharmaceutical products to over 200 countries and territories. These capabilities have helped create one of the world's deepest talent pools across clinical research, regulatory affairs, pharmacovigilance, medical writing, biostatistics and medical communications.

While Indegene is not a CRDMO, it is well positioned to benefit from the expansion of this broader ecosystem. As pharmaceutical innovation, clinical development and commercialization activities continue to grow, demand for specialized services such as regulatory operations, medical affairs, commercialization, digital transformation and AI-enabled content generation is also expected to increase. India's deep life sciences talent base, particularly in established hubs such as Bengaluru, provides Indegene with a scalable delivery platform and supports its ability to serve large global pharmaceutical clients efficiently. We believe these structural trends create a favourable long-term demand environment for Indegene's technology-enabled healthcare services business.

India is emerging as a leading global biosimilar development and manufacturing hub along with one of the world's largest approved biosimilar portfolios

India's biosimilar and biologics market stands at an inflection point with an approved 100+ biosimilar molecules, highest among the nations. The US FDA's proposed October 2025 regulatory changes, if finalized, have the potential to reshape biosimilar development by removing the routine requirement for comparative efficacy clinical trials, resulting in meaningful cost and timeline efficiencies (~50% according to industry estimates; or academic commentary suggest savings can be substantial, in some cases may go up to USD 150mn depending on the program). The US biosimilars market is projected to grow from USD 22.6bn in 2025 to over USD 90bn by 2034. As a result, Indian biosimilar developers including Biocon, Dr Reddy's, Lupin, Cipla, and Intas Biologicals are accelerating entry to US market. We believe that Indegene well placed to be a direct beneficiary of the increased commercialization, regulatory submission, and post-market surveillance activity followed by every new biosimilar launch. As Indian

US biosimilar reforms cut costs and timelines, boosting Indian biosimilar launches—creating more regulatory, medical and commercial work for Indegene.

biopharma scales into the complex-biologics space, we see added scope for regulatory, medical affairs, and commercial services that help scale Indegene.

Higher pharma manufacturing and R&D will support long-term demand for Indegene's regulatory, commercialization and AI-enabled services

India's pharmaceutical policy framework continues to strengthen the long-term growth outlook for the domestic life sciences ecosystem. The PLI Scheme for Pharmaceuticals (INR 15,000cr) and the PLI Scheme for Bulk Drugs (INR 6,940cr) are accelerating investments in high-value formulations, biopharmaceuticals, APIs, and critical raw materials through FY2028-29. In parallel, the Department of Pharmaceuticals' allocation under the Union Budget FY2025-26 increased to INR 5,268cr, up 28.8% YoY, while the Promotion of Research and Innovation in Pharma MedTech (PRIP) scheme provides a INR 5,000cr funding framework to strengthen pharmaceutical and MedTech R&D. Although these initiatives do not directly benefit Indegene, they expand the pharmaceutical innovation ecosystem and are expected to support higher spending on regulatory affairs, medical affairs, commercialization, digital transformation, and AI-enabled services, thereby creating a favourable long-term demand environment for the company's offerings. Where applicable, India's SEZ framework also continues to support the competitiveness of export-oriented services businesses through operational and tax efficiencies.

Government schemes boosting pharma R&D and manufacturing do not directly help Indegene, but they grow the ecosystem, indirectly increasing demand for its services.

India-based delivery advantage combined with global capability expansion creates a scalable growth platform

India's growing importance in the global life sciences value chain provides a structural advantage for Indegene. The company's delivery model combines India's cost-efficient and scalable talent base with deep subject-matter expertise across medical writing, regulatory affairs, pharmacovigilance, medical communications and commercialization services. This enables Indegene to support complex pharmaceutical workflows while maintaining competitive economics. With revenue per employee of approximately USD75k in FY26, Indegene operates at a higher-value end of the outsourcing spectrum, reflecting its specialized life sciences capabilities rather than a traditional labour-arbitrage model. The expansion of India's biotechnology, biosimilar and pharmaceutical services ecosystem is also supporting the emergence of a broader customer opportunity beyond the largest pharmaceutical companies. Mid-sized pharma, specialty pharma and emerging biopharma companies increasingly require external partners to support regulatory submissions,

Indegene blends India's talent and cost efficiency with specialized expertise, serving both large and emerging pharma clients. Its acquisitions and AI capabilities strengthen its position as a strategic outsourcing partner.

medical affairs, commercialization and digital engagement, given their limited internal infrastructure. Indegene's growing presence beyond its traditional top-tier pharma customer base provides an additional long-term growth opportunity.

The company's targeted acquisition strategy further strengthens this positioning. Acquisitions such as Trilogy Writing & Consulting in Germany, Cake Kommunikationen in Europe, and BioPharm Communications in the US have expanded Indegene's capabilities across regulatory medical writing, healthcare communications and scientific engagement. These capabilities complement the company's India-based delivery platform and enhance its ability to participate in higher-value, regulated and complex pharmaceutical workflows.

We believe Indegene's differentiated model—combining global client-facing capabilities, specialized life sciences expertise, India-based delivery economics and AI-enabled productivity improvements—creates a scalable platform for the next phase of pharmaceutical outsourcing. As pharmaceutical companies increasingly seek integrated partners to improve efficiency, accelerate launches and manage complex regulatory requirements, Indegene is well positioned to expand its role as a strategic commercialization and medical operations partner.

Structural tailwind underpinning long term growth

Declining R&D productivity and patent expiries are increasing the need for technology-enabled commercialization partners

The pharmaceutical industry is facing a structural challenge of declining R&D productivity. Despite global pharmaceutical companies increasing R&D investments to more than USD 250–300bn annually, the productivity generated from each incremental dollar of investment has remained under pressure, reflecting rising clinical complexity, higher development costs and increasing regulatory requirements. Industry research has highlighted that the number of successful new medicines generated per inflation-adjusted R&D dollar has declined over several decades, often referred to as the industry's "Eroom's Law".

Deloitte's annual "Measuring the Return from Pharmaceutical Innovation" report has highlighted a sustained decline in pharmaceutical R&D returns, with industry internal rates of return falling to around 4%, below the estimated cost of capital for many companies. This pressure is forcing pharmaceutical companies to improve efficiency across the value chain,

not only in drug discovery and development but also in commercialization and lifecycle management.

At the same time, the industry is approaching a significant patent expiry cycle, with approximately USD 350bn of branded pharmaceutical revenue estimated to be exposed to loss of exclusivity between 2025 and 2029. As competition from generics and biosimilars increases, pharmaceutical companies need to maximize the commercial potential of existing brands while accelerating launches of next-generation therapies, including GLP-1s, antibody-drug conjugates (ADCs), and advanced cell and gene therapies.

Falling R&D returns and a looming patent cliff push pharma firms to boost efficiency. Indegene's tech-driven, India-based platform helps clients improve commercial productivity and maximize drug value.

We believe this environment creates a structural opportunity for specialized commercialization partners. Pharmaceutical companies increasingly require technology-enabled platforms that can improve launch effectiveness, optimize medical engagement, accelerate regulatory workflows and reduce the cost of commercial operations. Indegene's combination of life sciences domain expertise, AI-enabled technology platforms and India-based delivery model positions the company well to support pharma companies in improving commercial productivity and extracting greater value from their innovation pipeline.

GenAI adoption is moving from experimentation to enterprise deployment, creating a structural opportunity for Indegene

Generative AI adoption within the pharmaceutical industry is transitioning from early proof-of-concept experiments toward enterprise-level deployment across regulated business processes. Pharmaceutical companies are increasingly prioritizing AI applications in areas where large volumes of complex information must be processed while maintaining high levels of accuracy and compliance. Key emerging use cases include medical-legal-regulatory (MLR) review, medical writing, pharmacovigilance workflows, content modularization, omnichannel healthcare professional (HCP) engagement and regulatory intelligence—areas that closely align with Indegene's domain expertise.

Indegene has invested early in developing AI-enabled solutions through its Cortex AI engine and the NEXT platform suite, including NEXT Medical Writing Automation, MLR Review Automation, NEXT Safety Automation and NCCA (Next Commercial Content Authoring). These platforms are designed to automate repetitive knowledge-intensive workflows while improving speed, consistency and compliance across pharmaceutical operations. The company's AI capabilities have received recognition from

GenAI is scaling across pharma workflows like MLR review and medical writing. Indegene's AI platforms and life sciences expertise position it to gain productivity, margins, and market share.

industry research organizations including HFS Research, Everest Group and ISG for its positioning in life sciences technology-enabled services.

We believe GenAI represents more than a technology upgrade for Indegene; it can become a meaningful operating leverage driver. By improving productivity across medical writing, content creation, review processes and regulatory workflows, AI enables the company to increase throughput without proportional increases in workforce requirements. Over time, this creates the potential for higher scalability, improved margins and deeper client relationships as pharmaceutical companies increasingly seek partners capable of delivering measurable productivity improvements.

Indegene's differentiated advantage lies in combining proprietary AI platforms with deep life sciences expertise and an India-led delivery model. The company's revenue per employee of approximately ~USD 75K in FY26 reflects the higher-value nature of its specialized services compared with traditional technology outsourcing models. As pharmaceutical companies continue to digitize commercialization and medical operations, we believe Indegene is well positioned to capture a larger share of AI-enabled life sciences outsourcing opportunities.

Shift towards outcome-oriented outsourcing models favours technology-enabled life sciences partners

The pharmaceutical outsourcing industry is gradually evolving from traditional time-and-material and FTE-based engagement models toward more integrated, technology-enabled service models. While FTE-based contracts remain prevalent, pharmaceutical companies are increasingly seeking partners that can deliver measurable improvements in productivity, speed, quality and commercial effectiveness rather than simply providing additional manpower.

This shift is particularly favourable for companies with proprietary technology platforms and deep domain expertise. Outcome-oriented models can include productivity-linked engagements, managed services, platform-enabled workflows and performance-based commercial arrangements, where vendors are increasingly evaluated on measurable outcomes such as faster regulatory document preparation, improved content throughput, accelerated medical review cycles and enhanced healthcare professional engagement.

Indegene is well positioned to benefit from this transition through its combination of proprietary technology platforms and life sciences

expertise. The company's AI-enabled ecosystem, including the Cortex AI engine, NEXT platform suite, Invisage analytics platform and NCCA (Next Commercial Content Authoring), enables automation across medical writing, MLR review, safety workflows, content creation and omnichannel engagement.

The company's increasing ability to secure larger and more integrated engagements demonstrates the shift toward strategic partnerships. Indegene recently disclosed a significant engagement exceeding USD50 million in-annualized revenue potential, focused on omnichannel orchestration capabilities. In addition, the company has continued to expand its pipeline of larger annual contract value opportunities, including multi-million-dollar engagements, indicating increasing wallet share among global pharmaceutical customers.

Pharma outsourcing is shifting from staffing-based to outcome-based models. Indegene's tech platforms and large deals, like its USD50mn+ omnichannel contract, show growing wallet share and margin potential.

We believe the combination of proprietary platforms, domain expertise and India-led delivery capabilities positions Indegene favourably as pharmaceutical companies increasingly seek scalable partners capable of improving commercialization efficiency. Over time, this transition from labour-based outsourcing toward technology-enabled outcome delivery could create operating leverage opportunities through higher productivity, stronger client relationships and improved margin potential.

Emerging biopharma creates a large, underpenetrated client opportunity for specialized commercialization partners

The pharmaceutical innovation ecosystem is undergoing a structural shift, with emerging biopharma companies increasingly driving global drug development activity. According to IQVIA's Global Trends in R&D 2025 report, emerging biopharma companies account for the majority of clinical trial starts globally and represent an increasing share of the industry's innovation pipeline. While these companies possess strong scientific capabilities and differentiated assets, many operate with limited internal commercial infrastructure compared with large pharmaceutical companies.

As emerging biopharma companies advance molecules from clinical development toward commercialization, they increasingly require specialized partners for regulatory operations, medical affairs, scientific communications, pharmacovigilance, market access and commercial launch execution. Rather than building large fixed-cost internal organizations, many companies prefer flexible, technology-enabled partners that can provide domain expertise and scale as products progress through development and launch cycles.

Emerging biopharma firms drive most clinical trials but lack commercial infrastructure. Indegene's growing "Beyond-20" client base shows strong traction in serving these smaller, scalable accounts.

Indegene is strategically positioned to benefit from this trend through its expansion beyond traditional large pharmaceutical customers. The company's Beyond-20 client cohort, comprising emerging biopharma, specialty pharma and mid-sized healthcare companies, has become an important growth driver. Indegene expanded its base of USD 1mn-plus customers to 53 in FY26, representing 29% YoY growth, with several clients scaling into larger annual contract values. This reflects the company's ability to land smaller accounts and expand relationships as clients progress through commercialization milestones.

The growth of emerging biopharma provides Indegene with both diversification and long-term expansion opportunities. Compared with large pharmaceutical companies, these clients typically have greater outsourcing needs and lower internal commercialization capabilities, making them attractive partners for specialized service providers. We believe Indegene's combination of life sciences expertise, AI-enabled platforms and scalable delivery model positions it well to capture this expanding market opportunity.

Increasing regulatory complexity strengthens the case for specialized life sciences outsourcing partners

The pharmaceutical industry is facing an increasingly complex regulatory environment as global regulators continue to strengthen requirements around safety, data quality, transparency and clinical trial governance. Regulatory frameworks across major markets—including the US, Europe, the UK and Japan—are becoming more sophisticated, increasing the documentation and compliance burden for pharmaceutical companies.

In the US, evolving requirements such as Medicare drug price negotiations under the Inflation Reduction Act are adding complexity to commercial and market access processes, while the FDA continues to emphasize higher standards around clinical data quality, safety monitoring and technology adoption. In Europe, initiatives such as Identification of Medicinal Products (IDMP) standards and evolving pharmacovigilance requirements are increasing the need for structured product data management. Similarly, post-Brexit regulatory divergence has created additional complexity for companies operating in the UK, while Japan continues to expand electronic submission and regulatory data requirements. The global implementation of ICH E6(R3) is also expected to increase focus on risk-based clinical trial management and quality oversight.

Rising global regulatory complexity is pushing pharma firms to outsource compliance work. Indegene's regulatory expertise and AI tools like NEXT Medical Writing Automation position it as a strategic compliance partner.

As regulatory requirements become more complex, pharmaceutical companies increasingly prefer to outsource specialized compliance activities rather than build large internal teams for every geography and therapeutic area. Regulatory operations, medical writing and pharmacovigilance require highly specialized expertise, continuous training and deep familiarity with global regulatory standards, making them attractive areas for strategic outsourcing.

We believe this creates a structural opportunity for Indegene. The company's regulatory and medical operations capabilities, strengthened through acquisitions such as Trilogy Writing & Consulting, combined with AI-enabled platforms such as NEXT Medical Writing Automation, allow pharmaceutical companies to improve efficiency while maintaining regulatory quality. By integrating domain expertise with technology-enabled workflows, Indegene is positioned to become a strategic partner for global pharmaceutical companies navigating increasingly complex regulatory environments.

Commercialization outsourcing: The next frontier in pharma outsourcing

The pharmaceutical outsourcing landscape is entering its next phase of evolution. Historically, global pharmaceutical companies have focused outsourcing efforts primarily on manufacturing, clinical research and selected R&D activities, where external partners (specialized) offered meaningful cost and execution advantages. However, as drug launches become increasingly complex and healthcare engagement shifts toward digital and omnichannel models, pharmaceutical companies are now expanding outsourcing into commercial functions. Modern drug commercialization requires coordinated execution across multiple areas, including healthcare professional engagement, medical affairs, content development, commercial analytics, market intelligence and digital marketing. These capabilities require specialized expertise, technology infrastructure and continuous investment, making it increasingly difficult and inefficient for pharmaceutical companies to build all capabilities internally.

Pharma outsourcing is expanding beyond manufacturing and R&D into commercial functions like HCP engagement and digital marketing. This underpenetrated space gives Indegene a large growth opportunity.

While pharmaceutical companies have traditionally retained commercial activities due to their importance in physician relationships, brand management and market access, the increasing complexity of launches and pressure to improve return on innovation are encouraging greater adoption of external partners. Companies are increasingly seeking specialized providers that can combine domain expertise with technology platforms to improve commercial productivity and reduce cost-to-serve. We believe commercialization outsourcing remains significantly less

penetrated compared with manufacturing and clinical development outsourcing, creating a large structural opportunity for specialized providers such as Indegene. The company's capabilities across medical affairs, omnichannel engagement, commercial analytics, content operations and AI-enabled workflows position it well to benefit as pharmaceutical companies increasingly move toward integrated commercialization partnerships.

Indegene is placed well to benefit from the next wave of pharmaceutical outsourcing: commercialization transformation

Indegene is strategically positioned to benefit from the increasing outsourcing of commercialization, medical affairs, regulatory operations and digital transformation activities by global life sciences companies. While outsourcing penetration in manufacturing and clinical development has matured over the past two decades, commercial functions remain relatively underpenetrated, creating a significant long-term growth opportunity for specialized providers. The complexity of pharmaceutical commercialization has increased meaningfully as companies launch more specialized therapies, operate across multiple geographies and adopt digital-first engagement models. Modern launches require coordinated capabilities across medical affairs, healthcare professional engagement, content development, commercial analytics, regulatory support and omnichannel marketing. Building these capabilities internally across every therapeutic area and geography is increasingly expensive and operationally challenging, encouraging pharmaceutical companies to partner with specialized service providers.

Commercial pharma outsourcing is underpenetrated and growing. Indegene's tech platforms, life sciences expertise, and India-based delivery position it well to expand client wallet share across the commercialization lifecycle.

Indegene operates across several of the fastest-growing segments within pharma commercialization outsourcing, including omnichannel HCP engagement, medical affairs, regulatory services, content operations, commercial analytics and AI-enabled workflow automation. The company's proprietary technology platforms, including the Cortex AI engine, NEXT platform suite, NCCA and Invisage, enhance productivity while enabling scalable delivery across complex pharmaceutical workflows. Unlike traditional CROs that are primarily focused on clinical development or technology companies that provide horizontal digital transformation services, Indegene combines deep life sciences expertise with technology capabilities and an India-led delivery model. This allows the company to support global pharmaceutical, biotechnology and MedTech clients across the commercialization lifecycle—from regulatory preparation and medical engagement to product launch execution and ongoing brand management.

We believe the increasing need for pharmaceutical companies to improve launch effectiveness, optimize commercial spending and adopt AI-enabled operating models creates a multi-year growth opportunity for Indegene. The company's differentiated positioning at the intersection of healthcare expertise, technology and global delivery provides a strong foundation for expanding wallet share with existing customers and acquiring new clients.

Exhibit 31: Outsourcing Intensity

Function	Outsourcing Intensity
Manufacturing	High
Clinical Trials	High
Regulatory	Medium-High
Medical Affairs	Growing
Commercialization	Growing Fast
Omnichannel Marketing	High
AI & Analytics	Very High

Source: IDBI Capital Research

Exhibit 32: Indegene's Core Exposure

Medical Affairs

Commercial Analytics

Omnichannel Engagement

Digital Commercialization

Source: IDBI Capital Research

Exhibit 33: Industry Driver Flow

Declining R&D Returns

↓

Need to Maximize Drug ROI

↓

Commercial Excellence Becomes Critical

Source: IDBI Capital Research

Exhibit 34: Indegene's Opportunity

Commercial Outsourcing

Medical Affairs

Regulatory

Analytics

AI & Digital

Source: IDBI Capital Research

Company services offerings — A Comprehensive Overview

Indegene operates through two primary business segments: Enterprise Commercial Solutions (ECS) and Enterprise Medical Solutions (EMS), with the earlier Omnichannel Activation segment now integrated into ECS. A small residual "Others" category represents emerging offerings and non-core revenues. The segmentation reflects how global pharma companies typically procure these services—commercial functions such as marketing, omnichannel engagement, sales enablement and market access are managed under ECS, while medical functions including medical affairs, medical writing, pharmacovigilance, regulatory affairs and MSL support are housed within EMS. While ECS and EMS have different growth drivers, margin profiles and competitive landscapes, the two segments are highly complementary. For complex product launches, pharmaceutical clients increasingly require an integrated partner that can support both commercial execution and medical/regulatory operations across the entire product lifecycle.

Enterprise Commercial Solutions (ECS) — ~68-71% of Revenue

ECS represents the larger and faster-growing part of Indegene's business. The segment benefits from the increasing outsourcing of pharma commercialization activities, as companies seek to improve launch effectiveness, enhance healthcare professional engagement and reduce commercial operating costs.

Patient Engagement and Support Services

Patient engagement services represent a growing opportunity as pharmaceutical commercialization shifts from physician-only engagement toward patient-centric models. Indegene supports pharma companies through patient journey design, onboarding, adherence programs, education services and digital support solutions. The combination of operational capabilities and analytics allows clients to improve patient outcomes while enhancing commercial effectiveness, particularly in specialty therapy areas such as oncology and rare diseases.

Marketing and Communications

Indegene's marketing and communications capabilities address the increasing complexity of pharmaceutical content creation. The company helps clients develop, adapt and distribute compliant content across multiple digital channels. Its NCCA platform leverages AI-enabled content modularization, allowing pharmaceutical companies to create reusable content frameworks that can be efficiently adapted across markets and

channels. Strategic acquisitions in healthcare communications further strengthen Indegene's global capabilities.

Data and Analytics

Indegene provides commercial analytics capabilities that help pharmaceutical companies improve decision-making across the product lifecycle. The company's analytics offerings include market intelligence, HCP segmentation, sales-force effectiveness, brand performance analytics, forecasting and omnichannel measurement. By integrating healthcare data with commercial workflows, Indegene enables clients to optimize customer engagement and improve return on commercial investments.

Technology Transformation

Indegene's technology transformation practice supports pharmaceutical companies in designing and implementing modern commercial technology ecosystems. The company provides consulting and implementation services across platforms such as Veeva, Salesforce and Adobe, helping clients modernize their commercial infrastructure. These transformation engagements often create opportunities for longer-term managed services relationships.

Omnichannel Activation (Invisage and beyond)

Omnichannel activation is becoming a critical capability as pharmaceutical companies shift toward personalized and data-driven HCP engagement models. Indegene's Invisage platform enables orchestration across field, digital and virtual channels by using historical interactions and engagement signals to improve customer targeting. The increasing adoption of omnichannel models represents a significant growth opportunity as pharma companies seek more efficient alternatives to traditional commercial approaches.

Market Access, Pricing and Reimbursement

Market access has become increasingly important as governments and payers globally focus on healthcare affordability and value-based reimbursement. Indegene supports pharmaceutical companies through pricing strategy, reimbursement dossiers, health economics and outcomes research (HEOR), and payer engagement. The company's capabilities help clients demonstrate clinical and economic value in increasingly complex reimbursement environments.

Enterprise Medical Solutions (EMS) — ~25-28% of Revenue

EMS focuses on the regulatory-grade, compliance-heavy parts of the pharma value chain. Growth in FY26 was approximately 13-14% YoY that is slower than ECS but more predictable as well as recurring in nature and involves higher entry barriers structurally. The capability stacks within EMS are divided into six sub-functions.

Medical Writing

Indegene's medical writing capabilities support pharmaceutical companies across clinical development and regulatory submissions. The acquisition of Trilogy Writing & Consulting strengthened the company's expertise in regulatory-grade medical documentation. The launch of NEXT Medical Writing Automation, powered by Cortex AI, further enhances productivity by enabling AI-assisted drafting, document automation and workflow integration.

Medical Legal Regulatory (MLR) Review

Medical-Legal-Regulatory (MLR) review is a critical pharma compliance workflow that ensures promotional and educational content meets scientific accuracy, legal standards and regulatory requirements across markets. Traditionally, MLR has been a highly manual and resource-intensive process, requiring large global teams to review thousands of assets annually. Indegene's AI-powered NEXT MLR Review Automation platform aims to streamline this workflow by accelerating review cycles, improving consistency and enabling market-specific regulatory checks across geographies. The platform has demonstrated the ability to significantly reduce review timelines while supporting large-scale content operations for global pharmaceutical clients. Indegene has highlighted case studies where a top-20 pharma company managed ~10K assets annually across 100+ brands and multiple markets through its AI-enabled MLR capabilities.

Pharmacovigilance (PV) and Safety

Indegene provides pharmacovigilance (PV) services across adverse event intake and processing, Individual Case Safety Report (ICSR) submissions, signal detection, periodic safety update reports (PSURs), and global safety database management. The company's Cortex AI platform enables automation of safety workflows by converting unstructured adverse event information into structured safety data, reducing manual intervention and improving processing efficiency. Indegene has also highlighted the scaling

of PV automation programs with medical device clients, demonstrating increasing adoption of AI-enabled safety operations.

Regulatory Affairs

Indegene supports pharmaceutical companies across regulatory affairs, including submission strategy, eCTD compilation, regulatory agency interactions, labelling and post-approval lifecycle management across key global markets. The acquisition of Trilogy Writing & Consulting has further strengthened its regulatory expertise and medical writing capabilities, enhancing its ability to support complex global regulatory requirements.

Medical Information and Communication

Indegene provides medical information services, including scientific inquiry management, publication support, MSL enablement and digital medical information platforms such as chatbots and self-service portals. These capabilities help global pharma companies deliver accurate scientific communication across therapeutic areas while improving engagement efficiency.

Learning and Development

Indegene supports pharma clients through digital learning and capability-building programs, including curriculum design, micro-learning content, learning analytics and change management for medical, commercial and field teams. These solutions help improve launch readiness and accelerate knowledge adoption across global markets.

Cortex and NEXT create a differentiated position for Indegene

Indegene's proprietary technology ecosystem, including NEXT Medical Writing Automation, NEXT MLR Review Automation, NEXT Safety and NCCA (Next Commercial Content Authoring), is designed to support both Enterprise Medical Solutions (EMS) and Enterprise Commercial Solutions (ECS). These applications are powered by the company's Cortex AI engine, which serves as the underlying intelligence layer combining life sciences-specific knowledge, regulatory frameworks, domain workflows and AI capabilities. Unlike generic AI solutions that primarily provide language generation capabilities, regulated pharmaceutical workflows require deeper contextual understanding, including therapeutic knowledge, compliance requirements, regulatory guidelines and enterprise-specific processes. Indegene's approach focuses on embedding this domain expertise into AI-driven workflows to improve accuracy, scalability and adoption in highly regulated environments.

Indegene's Cortex AI and NEXT platforms combine tech with deep pharma expertise, setting it apart from generic tech firms and traditional service providers alike.

The strategic value of the platform stack is twofold. First, it differentiates Indegene from traditional technology service providers that possess strong engineering capabilities but limited pharmaceutical domain expertise. Second, it separates the company from traditional life sciences service providers that may have domain knowledge but lack proprietary technology platforms. This combination enables Indegene to move beyond traditional manpower-based outsourcing toward technology-enabled managed services. Over time, greater adoption of AI-enabled workflows could allow Indegene to improve delivery productivity, increase scalability and participate in more outcome-oriented commercial models. The combination of proprietary platforms, regulatory-grade expertise and global pharmaceutical relationships positions the company favourably as life sciences companies increasingly seek technology-led transformation partners.

Strategic acquisitions strengthen Indegene's position as a global life sciences commercialization platform

Indegene's recent acquisition strategy has been focused on expanding its capabilities across the pharmaceutical commercialization value chain rather than pursuing scale-driven consolidation. The company has selectively acquired specialized assets that strengthen its AI-enabled marketing, healthcare communications, regulatory and transformation capabilities. The acquisition of BioPharm Parent Holdings Inc. in October 2025 for USD 104mn added healthcare marketing, medical communications and digital engagement capabilities, strengthening Indegene's ability to participate in the rapidly evolving omnichannel HCP engagement market. The acquisition of WARN & Co. Limited, a UK-based business transformation consulting firm, enhanced Indegene's consulting capabilities across European life sciences markets, while Cake Kommunikationen Holdings GmbH, acquired through an agreement announced in November 2025 for consideration of up to EUR 8.5mn including earn-out liability, strengthened healthcare communications capabilities in Germany and Europe. Earlier, the acquisition of Trilogy Writing & Consulting GmbH in March 2024 strengthened Indegene's medical writing and regulatory capabilities across clinical, safety and market authorization workflows. Together, these acquisitions enhance Indegene's ability to support pharmaceutical clients across the entire commercialization lifecycle, from regulatory documentation and medical communication to digital engagement and commercial transformation. While acquisitions have resulted in near-term integration expenses and

Indegene's targeted acquisitions—BioPharm, WARN & Co., Cake Kommunikationen, Trilogy—expand its commercialization, regulatory, and communication capabilities, strengthening differentiation and supporting future margin growth via AI-driven integration.

incremental amortization of acquired intangibles, we believe the strategic rationale remains compelling. These investments expand Indegene's addressable market, improve cross-selling opportunities with global pharmaceutical clients and strengthen its differentiation versus traditional CROs and horizontal IT service providers. Over the medium term, successful integration of these assets, combined with AI-enabled productivity improvements through platforms such as Cortex and NEXT, could support operating leverage and margin expansion as acquired capabilities scale across Indegene's global customer base.

Investment Rationale

Deep-rooted pharma relationship create durable competitive moat

Indegene is the only public listed company outside the largest CROs that can credibly claim active, revenue-bearing relationship with all Top-20 biopharma companies. The Top-20 companies ~Rs 25.2bn which is ~72% of the total pie. The structural moat has been built over 25+ years through a combination of regulatory-grade delivery quality, deep functional embedding into client operating processes, and proprietary technology that becomes increasingly difficult to replace once integrated. Indegene is successfully managing the MLR workflow across 20+ countries for the Top-5 client and is running omnichannel orchestration for the Top-10 largest therapeutic institutions. We firmly believe that switching cost will be in millions coupled with years to replace successfully. Company won a large deal from its largest client (Germany) and has guided to exceed ~USD 50mn in FY27. In addition to that, company has started mining another account to a ~USD 25mn during the fiscal year. Both events indicate that Indegene is successfully mining well the existing clients along with new logo additions. Furthermore, the Net Revenue Retention (NRR) of 105.8% in FY26 delivered a healthy organic-number excluding the BioPharm and WARN acquisitions. Normally a Top-20 pharma master services agreement generally requires 3-5 years of multi-tier audit, GDPR/HIPAA validation, security review, financial diligence and pilot work before vendor reaches preferred status which clearly indicates that the entry barrier is steep. Indegene operates with pricing competitiveness, contract length and account stickiness but with modest topline to become a category leader. As we have noticed that, there is no significant changes in Top5/20 clients in terms of flat to declining or loss in the recent past, so we can expect that Top-20 base will continue to deepen rather than churn.

Indegene uniquely serves all Top-20 biopharma clients, built over 25+ years. Deep integration, high switching costs, and steep entry barriers make these relationships sticky, with expanding deals signalling continued deepening rather than churn.

Pharma pricing pressure could accelerate outsourcing rather than disrupt demand

Recent policy developments in the US, including the Most-Favoured-Nation (MFN) drug pricing proposal announced in May 2025, ongoing implementation of the Inflation Reduction Act (IRA) Medicare price negotiation framework, and potential pharmaceutical tariffs, have created a negative sentiment overhang across the life sciences services ecosystem. The key investor concern is that lower drug pricing could compress pharma profitability and consequently reduce outsourcing budgets. However, we believe this assumption does not fully capture the nature of

Indegene's business model. Indegene does not participate in drug economics; it provides mission-critical services across commercialization, medical affairs, regulatory operations, pharmacovigilance, content transformation and digital engagement. Its revenue is linked to the volume and complexity of pharma operating activities, rather than the absolute pricing of individual molecules. Importantly, several critical activities across the drug lifecycle such as regulatory submissions, medical review, MLR (Medical-Legal-Regulatory) processes, HCP engagement and safety reporting remain mandatory irrespective of drug pricing dynamics.

In fact, a sustained pressure on pharma profitability could accelerate outsourcing adoption. As pharmaceutical companies seek to protect margins, they are likely to focus on improving commercial productivity, reducing fixed costs and consolidating vendors. Specialist partners such as Indegene can help global pharma companies achieve cost efficiencies through workflow automation, AI-enabled productivity tools and scalable offshore delivery models. Management commentary has indicated limited disruption to the pipeline from current pricing-related uncertainties, while biotech deal activity and outsourcing opportunities remain healthy. The structural rationale is straightforward: while pharma companies may face pressure on realized drug prices, the complexity of bringing therapies to market continues to increase. Regulatory requirements are becoming more stringent, product launches are becoming more global, and omnichannel engagement with healthcare professionals is becoming increasingly data-driven. These trends create a continued need for specialized service providers. The risk remains if policy changes lead to a prolonged reduction in global pharmaceutical innovation spending and R&D budgets, which could eventually impact clinical development and adjacent service demand. However, current industry indicators remain supportive. According to the IQVIA Institute, global biopharma R&D funding reached a decade-high of approximately USD 102bn in 2024. Clinical trial activity has recovered to pre-pandemic levels, with global trial starts reaching around 5,300+ in 2024, while the top-20 pharmaceutical companies collectively invested approximately USD 180bn in R&D during 2024.

US drug pricing reforms create sentiment overhang, but Indegene's revenue tracks pharma activity, not drug prices. Margin pressure may actually boost outsourcing demand, making Indegene a potential beneficiary despite policy risks.

Overall, we believe pricing reforms may create short-term sentiment volatility, but the underlying outsourcing opportunity remains intact. In a margin-conscious environment, companies like Indegene could become beneficiaries as pharma organizations increasingly prioritize efficiency, automation and strategic outsourcing.

GenAI monetization: Proprietary platforms could drive the next leg of margin expansion

The conventional GenAI-in-services concern stays as the productivity gains get competed away into client pricing, compressing vendor margins which rests on a commoditized, FTE-billed, generic-technology assumption. None of the three preconditions holds for Indegene. Contract structure, IP ownership, and productivity asymmetry all point the other way, making Indegene a rare case where GenAI is margin-accretive rather than margin eroding.

Indegene's shift toward outcome-based, platform-led pricing and paid per validated HCP engagement, per asset created, per submission filed and decouples client invoicing from hours worked. When Cortex- and NEXT-powered automation compresses cycle time, the vendor keeps the delta; the client pays the same price for the same validated output, just delivered faster. This is structurally different from time and material billing, where efficiency gains mechanically shrink the bill.

For Indegene, GenAI boosts margins rather than eroding them, thanks to outcome-based pricing, proprietary life-sciences AI, and high productivity. Efficiency gains stay with the vendor, though pricing pushback remains a risk.

Cortex, NEXT, Invisage and NCCA are trained on life-sciences-specific data and regulatory rule sets a corpus and SME-validation moat that generic frontier LLMs cannot replicate without years of dedicated build-out. NEXT MLR Review Automation cutting review cycles from 2 to 3 weeks to under 24 hours is a 15 to 20 times throughput uplift on workflows priced in the tens of thousands of dollars per asset; a productivity asymmetry wide enough that partial margin capture is could be even material.

FY26 revenue/employee of ~USD75k sits well above the USD50–65k typical of pharma-services peers, which is an early, quantifiable signature of technology-leveraged delivery rather than headcount-leveraged delivery. FY26 operating cash flow grew 47.3% YoY to INR 6,508mn, with OCF/PAT of 162%, consistent with GenAI-enabled delivery requiring less working-capital-intensive human effort per unit of output. Adjusted EBITDA margin of 19.4% (FY26) understates underlying trajectory where the ~100+bps compression due to one-off M&A integration costs and the INR 203mn TCPA settlement, both rolling off in H2FY27.

We build in ~50bps of adjusted EBITDA margin expansion over FY27–28E. If NEXT platform adoption can lead the GenAI- based productivity, may outpace our base case scenario by creating an upside momentum. Key monitorables remain outcome-based pricing where Indegene profits most from AI efficiency but makes up only a small slice of revenue, as a result the shift needs to keep gaining pace. We see a potential risk if the large IT players eventually match Indegene's pharma-specific AI investment and

compete more directly, while clients themselves may start pushing back on pricing once they notice AI is making the work faster and cheaper to deliver.

Beyond 20: The under-owned growth engine

Investor attention on Indegene skews toward top-20 client concentration, but the more interesting story is the "Beyond-20" cohort which is outside the world's 20 largest biopharma companies. This cohort expanded materially since IPO (Dec-2023) with active clients totalling to 91 by end FY26, with clients contributing USD 1mn+ in annual revenue nearly doubling from 27 to 53 over the same window. This is not incidental client-list churn; it is the visible output of a deliberate land-and-expand motion to enter an emerging/specialty biopharma account through a narrow wedge (launch consulting, medical writing, an omnichannel pilot), prove quality delivery, then expand into adjacent scope. FY26 saw multiple accounts scale to USD 5mn+ ACV within the broader top-tier cohort and the evidence shows that the model working is very much into practice.

Indegene's "Beyond-20" cohort is compounding fast, doubling large clients since IPO. This land-and-expand model dilutes concentration risk and taps structurally growing emerging biopharma demand, despite cyclical funding volatility.

There are two major structural implications to follow. First, if Beyond-20 continues compounding faster than the top-20, client concentration should mechanically dilute over FY27–29E without the company needing to sacrifice headline growth and will be a healthier mix shift than most outsourced-services investors currently price-in. Second, the addressable base is structurally durable: IQVIA's Global Trends in R&D 2025 shows emerging biopharma companies accounted for 63% of clinical trial starts in 2024 (up from 56% in 2019), and these companies are deliberately thin on commercialization infrastructure as the capital is raised for molecules, not for building in-house launch, medical, or omnichannel teams. The structural gap is Indegene's addressable surface to stay which isn't going away with the funding cycle. IQVIA's data actually shows biopharma funding bounced back to a 10-year high of about USD 102bn in 2024, up from USD 71bn in 2023 which is a second straight year of growth, not a collapse. The real risk is more modest as the funding growth slowed down in 2025, according to IQVIA's later commentary, even though it stayed above pre-pandemic levels. So the right way to think about this risk is funding being volatile and cyclical, not structurally broken. If funding dries up for an extended period, it would slow the pace of new client wins and stretch out the "prove-then-expand" cycle but it would not undermine the core idea that emerging biopharma companies structurally depend on partners like Indegene.

Quality growth at scale: Strong cash conversion and capital discipline enhance the compounding story

In a small/mid-cap universe where growth is often a euphemism for cash burn or accounting-led earnings, Indegene's earnings quality stands out. FY26 reported PAT of INR 4,011mn was depressed by a one-time INR 203mn TCPA settlement provision; strip that out and true operating PAT was INR 4,583mn, up ~13% YoY with a decent run-rate to model forward, but may not be a headline print. Operating cash flow reached INR 6,508mn in FY26, up 47.3% YoY and 162% of reported PAT (INR 4,011mn) and comfortably above even the adjusted PAT base.

Free cash flow was INR 6,065mn for the year. OCF has exceeded PAT in every fiscal year since IPO, a pattern underpinned by three mechanical drivers rather than one-time working-capital releases as reliable & standard-terms collections from large pharma clients, low asset intensity (no manufacturing capex, no heavy physical infrastructure), and minimal incremental working-capital absorption as the business scales which is a traditional IT-services cash profile.

Indegene's earnings quality is strong: cash flow consistently exceeds profit, backed by low capex, near-zero debt, and healthy returns. Adjusted for one-offs, true earnings power supports premium re-rating.

Net cash and investments of ~INR 15,385mn at end-FY26 equate to roughly 12.5% of current market capitalization, and this cash serves a few purposes. First, company continued to fund its M&A adventures without balance-sheet strain which includes the BioPharm, WARN and Cake totalling to ~INR 9,500mn in FY26 alone. Second, it underwrites a progressive dividend payout of INR 2.25/share for FY26, up 12.5% YoY, looks sustainable rather than stretched given the underlying cash-generation profile, and further escalation is a reasonable base case.

Strong cash conversion, near-zero debt, a robust net-cash position, and 18–19% RoCE together place Indegene in the upper quartile of Indian small/mid-cap technology-services names on capital efficiency. A combination that typically commands a premium multiple once the market looks past the reported Profit after tax headline to the adjusted, cash-backed earnings power underneath. The key monitorables is whether the TCPA-type one-offs recur; if FY27 reported as well as the adjusted PAT re-converge, would create an opportunity for further re-rating catalyst.

Industry recognition creates competitive advantage in enterprise pharma deal wins

Enterprise B2B services, particularly for the regulated industries like life science affects, the buyer behaviour if there is a third party validation involves. Procurement teams at top-20 pharma companies emphasises on ISG Provider Lens, Everest Group PEAK Matrix, HFS Research, Gartner, and

Top analyst recognitions from HFS, Everest, and ISG boost Indegene's credibility with pharma buyers, driving higher win rates, shorter sales cycles, and growing GenAI-led deals.

Forrester evaluations reports while shortlisting the vendor for RFP processes, in vendor consolidation decisions, and in the operating-committee discussions when major contracts are awarded. Indegene's dossier in the recent past is stellar and recognized by several research institutions with high regards. HFS Research named Indegene a Leader in Generative AI for life sciences. Everest Group positioned it as a Leader in the Life Sciences Digital Services Specialists PEAK Matrix 2024. ISG Provider Lens 2026 named Indegene a Leader in life sciences digital services for the third consecutive year in May 2026/2024 Silver Stevie Award for Technology Innovation in Healthcare; and the 2025 Stevie Awards in Healthcare Technology & AI for a top-5 pharma R&D medical writing engagement. The validations awarded by the research houses with highest regards globally provides extra mileage for Indegene when a top-20 pharma CFO or Chief Digital Officer needs to choose a strategic partner for an enterprise GenAI deployment in commercial or medical operations. This translates into higher win rates with shorter sales cycles. The Q4 FY26 deal book reflects higher deal wins with smaller ticket sizes such as with 1 deal >USD 3mn ACV and 7 deals in the USD 1-3mn ACV range, with the deal mix increasingly weighted toward GenAI-led engagements. The Tectonic win in Germany in FY26, the seven USD 1mn+ ACV deal wins across three accounts in Q3 FY26 alone (including omnichannel orchestration for a top-10 pharma and product launch for an emerging pharma each guided to exceed USD 10mn in annual revenue), and the medical device PV automation engagement all reinforce the above discussed pattern. The flywheel effect plays a crucial role in winning next big deal of high quality enterprise B2B businesses on back of growing reference base.

Attractive risk-reward: A high quality pharma services growth story trading below its potential

At the current market price of approximately Rs 500 to 510/share, Indegene trades at a trailing P/E of ~30x and a one-Year/Two-Year forward P/E of ~22x/~19x based on our FY27E/FY28E estimates. These multiples are at a meaningful discount to the company's growth-adjusted intrinsic value and to higher-growth domestic IT services peers, despite materially better growth visibility and end-market positioning. The peer set comparison is illustrative. Tata Elxsi trades at ~33x FY26 EPS although with a smaller healthcare exposure of ~9% and with FY26 growth of just ~0.8%YoY. Persistent Systems trades at ~44x FY26 EPS (~17.4% YoY growth in FY26 EPS) despite a healthcare payer/hi-tech vertical facing headwinds. L&T Technology Services trades at ~28.2x FY26EPS, has

Indegene looks attractively valued versus peers given strong growth visibility and healthcare positioning. Favourable risk-reward supports a Rs 620 target, with upside outweighing limited downside.

pharma vertical but with a manufacturing-engineering bias rather than commercialization focus. Happiest Minds trades at ~27.4x FY26 EPS and has no meaningful pharma exposure, making it the least comparable within the group. Indegene's P/E in the high-20s/low-30s screens as reasonable in this comparison, and we believe the appropriate forward multiple stays range bound at 22-24x and modestly below the higher-growth peers. Global pharma services peers (IQVIA at ~25.9x, ICON at ~22.9x) while Syneos was taken private in 2023 at a meaningful valuation discount, reflecting the market's more cautious view on this segment. Our 12-month target price of Rs 620 is set at 22.5x our FY28E EPS of Rs 27.6 with a moderate target multiple supported by our estimated two-year forward revenue estimates of ~18% (CAGR FY26-28E). The bull case scenario, in which (a) NEXT platform monetization accelerates faster than modelled, (b) BioPharm integration drives a step-up in Adj EBITDA margin ~20%+ by FY29E, and (c) Beyond-20 cohort growth accelerates to 35%+, supports a fair value in the Rs 700-750 range, or approximately +35-45% from current levels. The bear case — slower client digitization, margin pressure from integration overruns, and currency headwinds drag the fair value to approximately Rs 470-500, or roughly -8% to 0%. The risk-reward is asymmetric in favour of long positions at current levels, particularly given the entry point is below the 52-week high of Rs 597 (down~15%).

Peer Positioning — Domestic and Global

Indegene is well positioned in terms of an analytical complication that gives them a competitive advantage over the broader IT services peers. Indian domestic listed companies such as Tata Elxsi, L&T Technology Services, Persistent Systems, Happiest Minds, and Coforge are not truly comparable given the absence of a dedicated life sciences vertical focus. Internationally, the relevant comparators are split across the diversified CROs (IQVIA, ICON, Syneos, Parexel) and the specialized commercialization boutiques (EVERSANA, Real Chemistry, Lucid Group, Fishawack Health, Genesis Research). Each comparison surface a different facet of the Indegene story.

Exhibit 35: Global Peer Benchmarking — Life Sciences Commercialization & Services Providers

Company	Latest Annual Revenue	Fiscal Year	Core Focus Areas	Ownership
IQVIA Holdings	USD 15.41B	FY2024	Clinical research (CRO), real-world data & analytics, Technology & Analytics Solutions (TAS), commercial/tech-enabled operations	Public (NYSE: IQV)
Syneos Health	~USD 5.4B (last public FY2022; private since Sep 2023)	FY2022 (last public)	Clinical Solutions + Commercial Solutions (biopharma outsourcing, medical affairs, commercialization)	Private (Elliott Mgmt, Patient Square Capital, Veritas Capital, since 2023)
EVERSANA	~USD 1.3B	Recent (ZoomInfo estimate)	End-to-end commercialization: consulting, market access, pricing & reimbursement, patient services, data & analytics, agency (EVERSANA INTOUCH)	Private (PE-backed; merged with Waltz Health, 2025)
Accenture (Life Sciences practice)	USD 64.9B (Accenture total FY2024)	FY2024 (Accenture total)	Consulting, digital transformation, commercial analytics, R&D/clinical technology, AI-enabled commercial operations; life sciences is an industry vertical within Accenture, not separately reported	Public (NYSE: ACN)
Cognizant (Life Sciences practice)	USD 19.7B (Cognizant total FY2024)	FY2024 (Cognizant total)	IT services, digital engineering, data & AI, commercial analytics and regulatory/PV technology for life sciences clients; life sciences is part of the Products & Resources / Health Sciences segment, not separately reported	Public (Nasdaq: CTSH)
ICON plc	~USD 8.0B	FY2024 (approx.)	Contract research organization (CRO): clinical development, laboratory services, commercialization support (via PRA Health Sciences acquisition)	Public (Nasdaq: ICLR)
Indegene	~USD 400-450M (approx.)	FY2024/25 (approx.)	Digital-first commercialization, omnichannel engagement, medical affairs, regulatory & content services for life sciences	Public (NSE/BSE: INDEGENE, listed 2023)
Thermo Fisher Scientific (CDMO/PPD)	USD 42.9B (total company FY2024)	FY2024 (total company)	CDMO, clinical research (PPD), analytical instruments; life sciences services is one of several segments	Public (NYSE: TMO)

Source: Statista, 10-K, IDBI Capital Research; ((Revenue figures reflect total company revenue (not all life-sciences-specific segment revenue is separately disclosed by diversified players))

Indegene versus domestic IT/Healthcare peers

Tata Elxsi (~33x P/E, FY26 revenue INR 3,757cr, +1% YoY dollar growth) Considered the closest Indian comparable given healthcare/medical devices exposure, but the comparison favors Indegene. Indegene's FY26 revenue growth of 23.6% (INR) / 18.2% (USD) is over 10x faster than Tata Elxsi's ~1% growth. Indegene's adjusted EBITDA margin of 19.4% trails Tata Elxsi's 24.6% (Q4FY26), though this gap should narrow as acquisition integration costs roll off through FY27. Importantly, Tata Elxsi's healthcare exposure is medical devices engineering which is fundamentally different business from Indegene's pharma commercial and medical operations. The two serve distinct buyer constituencies (device manufacturers vs. biopharma commercialization teams) despite superficial "healthcare" overlap. Persistent Systems (~44x P/E, FY26 revenue INR 14,748cr, 17.4% YoY dollar growth) Has healthcare payer vertical exposure but has faced slower spending from a large client and delays in project ramp-downs. Its life sciences exposure is limited and not focused on pharma commercialization — a materially different end-market than Indegene's. L&T Technology Services (~28.2x P/E, FY26 revenue INR 10,996cr, +4.9% YoY dollar growth) has a pharma vertical, but with a manufacturing-engineering bias rather than commercialization focus. It is not a direct comparable to Indegene's core business. Happiest Minds (~26x P/E, FY26 revenue INR 2,315cr, +12.3% YoY Rupee growth) has no meaningful pharma exposure, making it the least comparable of the group despite trading in a similar valuation band.

Indian IT peers lack true pharma-commercialization focus and trade at similar or higher valuations despite slower growth. Indegene, the only pure-play life sciences specialist, grows much faster yet trades cheaper—suggesting the market undervalues its differentiated, high-growth business model.

Among listed Indian peers, Indegene remains the only pure-play life sciences commercialization specialist and none of the above four companies directly compete in Indegene's core market of pharma medical affairs, regulatory operations and commercial engagement. Despite this, Indegene's ~18.5x forward earnings sits below or in line with peers growing far slower (L&T Tech, Happiest Minds) and meaningfully below Persistent's ~44x, despite Indegene's superior growth profile. We believe the absence of a true domestic comparable means the market is under-recognizing the premium Indegene's differentiated, high-growth, pharma-focused business model deserves and supports our view that current valuations offer an attractive entry point relative to fundamentals.

Indegene vs global CROs & commercialization boutiques

Diversified CROs (IQVIA, ICON, Syneos, Parexel) are much larger businesses by revenue (IQVIA alone generates ~USD 15bn) but carry structurally slower growth, thinner margins, and weaker GenAI positioning relative to Indegene. IQVIA trades at ~25.9x trailing P/E, ICON at ~22.9x, while Syneos was taken private in 2023 at a meaningful valuation discount, reflecting the market's more cautious view on this segment. The focus areas for the CROs remains around clinical-stage trial workflows; commercialization (Indegene's core business) is only a small slice of their overall revenue mix. This makes them imperfect comparable; Indegene competes for a different, and arguably faster-growing, part of the pharma services wallet. Specialized commercialization boutiques such as EVERSANA, Real Chemistry, Avalere Health, Lucid Group, Fishawack Health, Genesis Research are Indegene's closer strategic peers in terms of business focus, but nearly all are private or PE-owned, limiting public valuation transparency. Based on recent private transactions, this segment has historically traded in the 12-18x EV/EBITDA range including EVERSANA and the Red Nucleus roll-ups.

Big CROs like IQVIA are larger but slower-growing and less GenAI-ready, while Indegene's true peers—private commercialization firms like EVERSANA—lack transparency. Indegene combines faster growth, India-cost advantages, and public-market transparency, making it uniquely positioned and potentially undervalued versus both groups.

Indegene's EV/EBITDA of ~18x places it at the upper end of the boutique peer range. There are three advantages Indegene delivers as compared to the private companies which are (1) a faster growth rate than most boutique peers, (2) the structural India-cost-and-delivery advantage underpinning a scalable, high-margin model, and (3) full public-market transparency as a listed Indian company.

Indegene occupies a genuinely unique position as it's more profitable and growth-oriented than the large diversified CROs (which are commercialization-light and slower-growing), while being more transparent and better-positioned on GenAI than the boutique specialists (which are largely opaque, private, and PE-owned). With no direct global listed peer and supported by superior growth and a low-cost India-centric delivery model, Indegene appears to be undervalued relative to its unique positioning across both life sciences services and IT services.

Exhibit 36: Five broad categories of service providers within the life sciences industry

Metric/Factor	Indegene	LS Specialists (ZS, Axtria, Eversana)	CRO/CSO Giants (IQVIA, Syneos)	IT/BPO Giants (TCS, Accenture, etc.)
Core Business Model	Digital-first life sciences commercialisation & medical solutions.	Strategic commercial consulting, sales software, and market access.	Clinical drug trials management & data services.	Broad-spectrum technology infrastructure and enterprise BPO.
Healthcare Domain Depth	100% Focused on life sciences.	100% Focused on life sciences.	100% Focused on healthcare & clinical data.	Low to Moderate (Healthcare is just one of many industry verticals).
Employee Mix	Highly specialized: Doctors, Ph.Ds, data scientists, and digital marketers.	Principals, strategy consultants, and data analysts.	Clinical research associates, biostatisticians, and nurse networks.	Software engineers, application developers, and general BPO agents.
Client Mix	Primarily top 20 global pharmaceutical and biotech giants.	Commercial sales leaders and brand managers within pharma.	R&D heads and clinical trial operations teams at pharma firms.	Chief Information Officers (CIOs) across banking, retail, and tech.
Pricing Power & Margins	High (due to medical domain expertise).	Very High (premium consulting billing rates).	Moderate (heavy operational costs for physical trials).	Lower/Commoditized (high pressure on legacy IT billing rates).

Source: Company, IDBI Capital Research

Exhibit 37: Key focus areas

Service providers classification	CROs/CSOs		Broad based IT BPOs				LS PECIALISTS				Digital Engineering firms		
Service provider/function	IQVIA	Syneos Health	Accenture	Cognizant	TCS	Wipro	ZS	Axtria	Eversana	Indegene	EPAM Systems	Globant	Endava
LS specific Function													
Drug discovery and clinical trials	✓	✓	✓	✓	✓	✓	✓	✓	✓	✓	✓	✓	×
Regulatory & medical affairs	✓	✓	✓	✓	✓	✓	×	×	✓	✓	×	×	×
Marketing/Sales	✓	✓	✓	✓	✓	✓	✓	✓	✓	✓	✓	✓	×
Pharmacovigilance/Compliance management	✓	✓	✓	✓	✓	✓	×	✓	✓	✓	×	×	×
LS manufacturing, Supply-chain & distribution	✓	✓	✓	✓	✓	✓	✓	✓	✓	×	✓	×	×
Horizontal Functions													
Finance and accounts	×	×	✓	✓	✓	✓	×	×	×	×	×	×	×
Human resources	×	×	✓	×	✓	✓	×	×	×	×	×	×	×
Data analytics	✓	✓	✓	✓	✓	✓	✓	✓	✓	✓	✓	✓	✓
ADM	×	×	✓	✓	✓	✓	✓	×	×	×	✓	✓	✓
Cloud & infrastructure services	×	×	✓	✓	✓	✓	✓	×	×	×	✓	✓	✓
Cyber security	×	×	✓	✓	✓	✓	×	×	×	×	✓	✓	×

Source: Company, IDBI Capital Research

Exhibit 38: Operating Models and Value Proposition of Service Providers

Particulars		CROs / CSOs	IT / BPOs	LS Specialists	Digital Engineering Firms	Platform Players
Key Focus Areas		Significant revenues derived from clinical trials (end-to-end) and drug discovery	Broad-based operations. Revenue streams include technology implementation & maintenance and other IT services	Specialized vertical services across the life sciences value chain including consulting and advisory services leveraging deep domain expertise	Technology products across the life sciences value chain; some firms serve industries other than life sciences as well	Platforms for various life sciences segments such as marketing & sales, regulatory, quality, safety and medical. Some firms serve industries other than life sciences as well
Shoring Mix		Primarily onshore	Primarily offshore	Mix of onshore and offshore	Primarily offshore	Mix of onshore and offshore
Value Proposition		• Deep clinical trial expertise • Ability to conduct end-to-end clinical trials • Contract-based FTE deployment / Functional Service Provider (FSP) model • Dedicated service portfolios for SME enterprises	• Broad-based portfolio including horizontal services • Cost optimization and offshoring • Services with a digital layer • Large scale of operations	• Specialization / domain IP • Consulting / advisory services • Strong market access and expertise in local (or regional) regulations • Enhanced client communication • Technology-led solutioning	• Productivity enhancement • Integration of next-generation technology offerings • Cost optimization focused	• Cloud-based platform solutions • Implementation support and wide partnership ecosystem

Source: Company, IDBI Capital Research

Exhibit 39: Capabilities across sub-functions of the commercialization value chain

Service provider/fuctions		LS Specialists				Digital Engineering Firms (DEF)	
		ZS	Axtria	Eversana	Indegene	EPAM systems	Globant
Drug discovery and development	Lead optimization/ new product development	✓	x	x	x	✓	✓
	Safety assessments	x	x	x	x	x	x
	Patient recruitment and scheduling	x	x	✓	✓	x	x
	Data management (clinical)	✓	✓	x	✓	✓	✓
	Protocol development and design	✓	✓	x	✓	x	x
	Biostatistics & statistical programming	✓	x	x	✓	x	x
	Site management and trial monitoring	✓	✓	x	✓	x	✓
Regulatory and medical affairs	Labelling, artwork, and CMC	x	x	x	✓	x	x
	Product registration and clinical trial applications	x	x	✓	✓	x	x
	Regulatory writing, review, and submission	x	x	✓	✓	x	x
	Regulatory information management	x	x	x	✓	x	x
	Medical affairs	✓	✓	✓	✓	x	x
Sales and Marketing (Commercial)	Market analysis and competitive intelligence	✓	✓	✓	✓	x	✓
	Patient access and support	✓	✓	✓	✓	x	✓
	Product support	x	x	✓	✓	x	x
	Contract Management	✓	✓	✓	✓	x	x
	Market access and HEOR	✓	✓	✓	✓	x	x
	Sales support and effectiveness	✓	✓	✓	✓	✓	x
	Marketing support and effectiveness	✓	✓	✓	✓	✓	✓
Pharmacovigilance /complaint management	Content creation	x	x	✓	✓	x	x
	ADR intake/complaint capture	x	✓	✓	✓	x	x
	Case/complaint processing	x	x	✓	✓	x	x
	Reporting	x	✓	✓	✓	x	x
	Signal and risk management trend analysis	x	✓	✓	✓	x	x

Source: Company, IDBI Capital Research

Structural Moat and Blue-Chip Clients Position Indegene to Ride Pharma Outsourcing Tailwinds

Technology, domain expertise and cost leadership create a differentiated competitive moat

When global pharmaceutical companies outsource large commercial, medical or regulatory transformation programs, Indegene competes across a broad set of vendors depending on the scope of work. The competitive landscape includes global IT services firms such as Accenture, Cognizant, Wipro, Infosys and TCS for technology transformation projects; diversified life sciences service providers including IQVIA, ICON and Parexel for integrated commercial and medical engagements; and specialist commercialization firms such as EVERSANA, Real Chemistry, Avalere Health and Fishawack Health for focused commercial and medical communications work.

Indegene competes with IT giants, big CROs, and boutique agencies, but uniquely blends healthcare expertise with AI platforms and India-based delivery; positioning it as a strategic partner in complex pharma transformation programs, not just a low-cost vendor.

We believe Indegene occupies a differentiated position at the intersection of technology and life sciences. Unlike horizontal IT service providers, the company combines deep healthcare domain expertise across medical affairs, regulatory operations, pharmacovigilance and commercialization with a large bench of physicians, PharmDs, PhDs and regulatory specialists. At the same time, unlike many specialist commercialization agencies, Indegene has developed proprietary AI-enabled platforms—including Cortex AI, the NEXT application suite, Invisage and NCCA—that automate medical writing, MLR review, pharmacovigilance and omnichannel engagement workflows. The company also benefits from a scalable India-led delivery model, complemented by client-facing consulting and delivery teams across North America and Europe. This combination supports competitive pricing, operational scalability and attractive margins while maintaining the domain expertise required for highly regulated pharmaceutical workflows.

In our view, Indegene's competitive advantage lies less in competing on price and more in integrating domain expertise, proprietary technology and delivery efficiency into a single operating model. This positioning enables the company to participate in increasingly complex enterprise-wide commercialization and medical transformation programs, where pharmaceutical companies are looking to consolidate vendors and partner with a smaller number of strategic providers.

Exhibit 40: Competitive dimension

	Horizontal IT firms	Large CROs	Commercial boutiques	Indegene
Life sciences domain expertise	Moderate	High	High	High
Proprietary AI/commercial platforms	Moderate	Moderate	Low–Moderate	High
Medical & regulatory capabilities	Limited	High	Moderate	High
Omnichannel commercialization	Moderate	High	High	High
India-led delivery scale	High	Moderate	Moderate	High
End-to-end commercial + medical offering	Partial	High	Partial	High

Source: Company, IDBI Capital Research

Enterprise scale engagements validate customer quality

Like most pharmaceutical outsourcing providers, Indegene does not publicly disclose most customer names due to strict confidentiality clauses in Master Service Agreements—a standard industry practice for commercialization, medical affairs and regulatory engagements. However, publicly available disclosures provide strong evidence of the quality of its customer base. Since its IPO, the company has consistently stated that it serves the world's leading biopharma companies across the commercialization, medical and clinical value chain, although individual client names are rarely disclosed. Published case studies highlight the scale of engagements, including enterprise-wide medical review programs spanning 100+ brands across 20+ markets, management of over 10,000 promotional assets annually, omnichannel transformation initiatives and advanced commercial analytics deployments. Indegene also publishes selective customer testimonials from organizations such as Boehringer Ingelheim, Gilead Sciences, MAPS and AliveDx. Management has further indicated meaningful wallet-share expansion opportunities within existing strategic accounts, supporting its "land-and-expand" growth strategy. In our view, the absence of customer disclosures reflects industry confidentiality norms rather than customer quality. Long-standing relationships, expanding engagements and publicly documented case studies underscore the strength and durability of Indegene's customer franchise.

Client names stay confidential per industry norms, but large-scale programs and named testimonials confirm Indegene's strong, expanding client relationships.

Deep relationships with the world's leading biopharma companies

Indegene's customer base is concentrated among the world's largest pharmaceutical companies, reflecting its strong positioning in outsourced commercialization, medical affairs, regulatory and clinical operations. Since its IPO, the company has consistently disclosed that it serves 20 of the world's top-20 biopharmaceutical companies, although customer identities are generally not disclosed because of confidentiality obligations under long-term Master Service Agreements. The company's top-20 strategic customers contributed approximately INR 25.2bn (around 72% of FY26 revenue), highlighting the depth of its relationships with global pharmaceutical innovators. According to the company's DRHP, the top-five customers accounted for approximately 45% of revenue, although management has indicated that this concentration has gradually declined as mid-sized pharmaceutical, biotechnology and medical technology customers ("Beyond-20") have grown at a faster pace. Management has also highlighted significant opportunities to increase wallet share within existing strategic accounts through cross-selling additional commercialization, medical, regulatory and AI-enabled digital solutions. This "land-and-expand" strategy has been a key driver of account growth over time. The company's largest customer has not been publicly identified. However, management has indicated that a large multi-year transformation engagement with a leading Germany-headquartered global biopharmaceutical company is expected to exceed USD 50mn in annual revenue once fully ramped up, underscoring Indegene's ability to win enterprise-scale managed services contracts. Overall, Indegene's customer profile combines high-quality global pharmaceutical relationships, long engagement tenures, expanding wallet share and increasing diversification beyond its largest accounts, providing good visibility for sustainable long-term growth.

Indegene serves 20 of the world's top-20 biopharma companies, contributing ~72% of FY26 revenue. Concentration is easing as "Beyond-20" clients grow faster, while a USD50mn+ German pharma deal shows strong enterprise-scale account expansion.

Large-scale engagement validates Indegene's ability to win and execute strategic pharma outsourcing programmes

One of Indegene's most significant wins in FY26 was the expansion of its relationship with its largest client through a large omnichannel commercialization engagement in Germany. Management expects this engagement to contribute ~USD 50mn of revenue in FY27, making it the company's largest single client engagement to date. We believe the strategic importance extends beyond near-term revenue. The deal validates Indegene's ability to execute large-scale, technology-enabled commercialization programmes for global pharmaceutical companies and

strengthens its position as a strategic outsourcing partner. In addition, Germany serves as a key European market for multinational pharma companies, providing a platform to expand similar services across other European affiliates of the same client over time. As pharma companies increasingly consolidate vendors and adopt AI-enabled commercial operating models, Indegene appears well positioned to benefit from larger, multi-country outsourcing opportunities.

Beyond-20 clients: Building a diversified growth engine beyond large pharma accounts

Indegene's Beyond-20 segment includes mid-sized pharma companies, specialty pharma, biotech and medtech firms. These companies increasingly outsource commercialization, medical affairs, regulatory and digital transformation activities, creating a large growth opportunity for Indegene. Publicly disclosed engagements include support to emerging biopharma companies such as Tonix Pharmaceuticals for the launch strategy of Tonmya (TNX-102 SL). Management has also highlighted adoption of Indegene's AI-enabled pharmacovigilance automation solution by a medical technology company and the development of a global innovation centre for a mid-sized pharma client. We believe the Beyond-20 segment can become a key growth driver by reducing client concentration and enabling Indegene to build deeper, long-term strategic partnerships with emerging life sciences companies.

Near-term monitorables remain, but outsourcing momentum provides a strong growth cushion

Indegene's key risks remain centred around client concentration, pharma spending cycles and execution. The recently expanded Germany-based Tectonic engagement with its largest client is expected to contribute ~USD 50mn of revenue in FY27 (~10–12% of revenue), making execution and scope expansion important monitorables; however, the risk is partly mitigated by Indegene's long-standing relationship and deep integration into the client's commercial operations. Several top-20 pharma clients, including Pfizer, Bristol Myers Squibb and Bayer, are undergoing cost optimisation and restructuring amid pricing pressure and patent expiries. While this may impact near-term spending, such initiatives could also accelerate outsourcing as companies look to improve efficiency and consolidate vendors. The growing adoption of GLP-1 therapies such as Wegovy, Ozempic, Mounjaro and Zepbound creates a significant opportunity for commercialisation partners, with Indegene's ability to

Key risks include client concentration (especially the USD50mn German deal), pharma cost-cutting, and biotech funding cycles—but rising outsourcing trends and GLP-1 commercialization demand offer strong offsetting growth support.

capture these programmes being a key factor to monitor. MedTech exposure remains relatively limited, although regulatory and trade policy changes could create uncertainty. Additionally, growth in the Beyond-20 segment remains linked to biotech funding conditions, as slower venture funding or delayed product launches could impact spending by emerging life sciences companies. Overall, while execution and macro risks remain, structural outsourcing trends and increasing adoption of technology-enabled commercial models provide meaningful growth support.

Clinical Trials Status — Where Indegene Plays in the Clinical Value Chain

Global clinical R&D trend — Stabilization sets the stage for life science services demand

IQVIA's Global Trends in R&D 2025 points to a stabilizing R&D ecosystem. Clinical trial starts normalized to 5,318 in 2024 which is essentially matching the pre-pandemic 2019 baseline while biopharma funding (ex-2020/21 pandemic peaks) hit a 10-year high of ~USD 102bn and suggests a durable rather than transient investor appetite for the pipeline. Design innovation is mainstreaming with adaptive trial designs (including master protocols and Bayesian frameworks, reached 19% adoption in 2024) while rising FDA reliance on real-world data signals growing regulatory openness to non-traditional evidence generation. Operationally, inter-trial intervals compressed to 17 months from the pandemic-era peak of 32 that suggests genuine cycle-time recovery as enrollment stabilizes. Collectively, these trends support sustained, efficiency-oriented R&D and commercialization spend; a structural tailwind for life-sciences-focused outsourced service providers positioned around adaptive trial support, RWD-enabled regulatory strategy, and faster-cycle execution capabilities.

Clinical trials, funding, and adaptive designs are stabilizing and growing, signalling durable R&D momentum—creating structural tailwinds for outsourced life-sciences service providers like Indegene.

Indegene: Well placed in the clinical trial value chain with complements with global CROs

Indegene's clinical-adjacent offering spans four service lines: digital tools for trial operations and patient identification; regulatory medical writing (study reports, protocols, investigator brochures, submission documents); pharmacovigilance across both trial-phase and post-launch safety monitoring; and newer capabilities in investigator engagement, site-facing digital content, and sponsor-side study coordination. Critically, Indegene does not run trials itself — it is not a traditional CRO — but instead embeds alongside CROs and sponsors as a specialized documentation, compliance, safety, and digital-engagement partner. This positions Indegene as largely complementary to major CROs such as IQVIA, Parexel, ICON plc, and Syneos Health, occupying the higher-touch, domain-expert layers of the value chain that CROs often outsource or under-resource, while overlapping with them selectively in medical writing and commercialization-adjacent services. The structural implication: Indegene's growth is partially insulated from CRO-side trial-volume competition and instead scales with overall clinical and regulatory-documentation complexity across the industry.

Indegene supports trials via medical writing, pharmacovigilance, and digital engagement—not running trials itself. This makes it complementary to CROs, with growth tied to industry-wide regulatory complexity, not trial volume competition.

Transforming regulatory complexity into AI-powered efficiency across the pharma R&D lifecycle

A single Phase 3 clinical trial generates a huge amount of documentation. The clinical study reports (CSRs) includes safety narratives, statistical analysis plans, protocol amendments, investigator brochures, regulatory submission documents, and plain-language summaries, which can be 200-500 pages all combined. For a large pharmaceutical company running more than 50 Phase 2/3 trials at the same time, translates into hundreds of regulatory documents every year, each requiring multiple rounds of review, revisions, and approvals. This is where Indegene's medical writing expertise plays an important role, as the company's capabilities were further strengthened through the acquisition of Trilogy Writing & Consulting GmbH in 2024 and enables it to handle large-scale documentation requirements for global pharma clients. To improve efficiency, Indegene launched NEXT Medical Writing Automation in July 2025, powered by its Cortex AI platform. The solution helps automate document within Microsoft Word, integrates with regulatory information management systems, maintains document traceability, and adapts content to each client's preferred templates and standards. Indegene's AI-led medical writing capabilities gained industry recognition through the 2025 Stevie Award for AI in Healthcare Technology, reflecting its success in helping a top-five pharma company scale GenAI-enabled R&D documentation workflows.

Clinical trials generate massive documentation. Indegene's medical writing expertise, boosted by Trilogy acquisition and AI-powered NEXT platform, helps pharma clients manage large-scale regulatory documentation efficiently—earning industry recognition via a 2025 Stevie Award.

AI-enabled Pharmacovigilance: automating safety intelligence while preserving regulatory rigor

Monitoring and processing adverse event (AE) reports during clinical trials is a large-scale and highly complex activity that often involves teams across multiple geographies. Indegene's NEXT Safety platform uses its Cortex AI engine to automatically convert unstructured safety reports into structured database entries, while human experts review critical and complex cases to ensure accuracy and compliance. Management highlighted in Q3 FY26 that a medical device client is expanding the use of this AI-driven pharmacovigilance (PV) solution, which serves as an early indication of growing customer confidence and market acceptance of the platform. Pharmacovigilance remains a recurring and mission-critical function for pharmaceutical and medical device companies, supported by stringent regulatory requirements and continuous safety monitoring obligations. Compliance with global regulations such as FDA/EMA standards creates significant entry barriers, making the business less liable

Indegene's AI-driven NEXT Safety platform automates adverse event processing, with growing client adoption. Strict global compliance requirements create high entry barriers, ensuring durable demand for specialized players like Indegene.

to new competition and supporting long-term demand for specialized service providers like Indegene.

Real-world evidence: Turning healthcare data into pharma intelligence

Real-world evidence (RWE) plays an important across the drug development and commercialization process. The trend shows that the FDA incorporated real-world data (RWD) into five drug approvals in 2024, emphasizing the growing acceptance of such evidence in regulatory decision-making. Indegene is well positioned to benefit from this transition, backed by its extensive analytics capabilities and cover more than 2mn healthcare professionals (HCPs) and over 200mn accumulated HCP interactions. This large data pool helps the company generate valuable real-world insights for pharmaceutical clients. The acquisition of Medical Marketing Economics in 2021 further strengthened Indegene's expertise in Health, Economics, Outcomes Research (HEOR), and market access analytics. As pharmaceutical companies move products from clinical development to commercialization, these capabilities create additional opportunities for Indegene to offer RWE-based analytics and advisory services, driving deeper client relationships and cross-selling opportunities.

Rising FDA acceptance of real-world evidence boosts demand for Indegene's analytics. With 2mn+ HCP data points and HEOR expertise from its MME acquisition, it's well-placed for cross-selling opportunities.

Clinical complexity driving outsourcing growth

Three major trends are increasing demand for Indegene's services linked to clinical trials. First, new trial designs such as adaptive studies and master protocols are making clinical development more complex. Instead of a few large documents, companies now need many smaller and more detailed documents for each drug, which increases the workload for medical writing and regulatory teams. Second, the rise of decentralized clinical trials (DCTs), where patients may participate remotely, is creating new needs for digital communication with patients, investigators, and study sites. These are areas where Indegene already has strong capabilities. Third, regulatory requirements are also becoming more extensive. Updated global guidelines such as ICH E6 (R3), data standards like IDMP and EVMPD, and new FDA expectations around AI in drug development are increasing compliance complexity. Because of this, pharmaceutical companies are more likely to outsource this work. Overall, these combined trends are expected to support faster-than-average growth in Indegene's clinical-adjacent services within its EMS segment over FY27–FY29.

Adaptive trials, decentralized trial models, and stricter global regulations are raising complexity in clinical development—driving greater outsourcing demand and faster growth for Indegene's clinical-adjacent EMS services through FY27–29.

Regulatory complexity, drug pricing pressure, and R&D Tax policy: a closer look

Drug pricing pressure: The defining headwind for pharma, but not for pharma services

The pharmaceutical industry is currently facing one of the toughest drug pricing environments in recent years, especially after the introduction of the Inflation Reduction Act (IRA). The IRA was passed in August 2022 and it allows the US government to directly negotiate prices for high-cost medicines under Medicare. The first set of 10 drugs will see negotiated prices starting in 2026, with 15 drugs by 2027 and 20 drugs annually by 2029. These first drugs include widely used treatments like Eliquis, Xarelto, Jardiance, Januvia, Farxiga, Enbrel, Imbruvica, Stelara, Entresto, and certain insulin products. The negotiated prices are expected to be about 38–79% lower than their listed prices. However, even after these cuts, US prices are still roughly twice as high as what is paid for similar drugs in many other developed countries. In addition to that, a new policy direction under the Trump administration has added further pressure. In May 2025, an executive order called “Most-Favored-Nation (MFN) Prescription Drug Pricing” was introduced, aiming to match US drug prices with the lowest prices available in other developed countries. This policy focuses mainly on branded drugs without generic competition. This could extend beyond Medicare into Medicaid and even private insurance markets. It includes steps such as allowing drug makers to sell directly to patients (reducing middlemen), pressuring other countries to pay more for drugs, and linking pricing to international reference benchmarks. Overall, the industry trade body PhRMA estimates that this policy shift could reduce pharmaceutical company revenues by as much as USD 1tn over the next decade, highlighting a significant long-term pricing and earnings headwind for the sector.

The IRA cuts Medicare drug prices 38–79% starting 2026, expanding to more drugs by 2029. Trump's 2025 MFN order pushes US prices toward global lows. Combined, PhRMA estimates a USD1tn revenue hit for pharma over the next decade.

Asset-light model insulates Indegene from pharma trade disputes

Trump administration has signalled potential tariffs on pharmaceutical imports that could influence generics, biosimilars and APIs, which are imported mostly from China/India. Indian API/generic exporters within our pharma industry likely to face direct impact but Indegene is insulated as they do not manufacture or export physical products.

Pharma restructuring fuels demand for specialized outsourcing partners

Pricing pressure pushes pharma firms to cut costs via outsourcing, not spending cuts—boosting demand for partners like Indegene, whose pipeline has strengthened despite policy headwinds.

We believe that the demand for pharma services is proportional with the pricing pressure on drugs. When pharmaceutical companies face pricing pressure, they do not simply cut back on overall spending. Instead, they focus on reducing costs by outsourcing more work and using automation. This actually increases the scope of services for the companies like specialized service providers like Indegene. This trend is already visible among large pharma companies. For example, Pfizer has announced a multi-billion-dollar cost reduction program, Bristol Myers Squibb has undertaken major restructuring, and companies like Bayer Pharmaceuticals and Novartis have implemented significant cost-saving initiatives. These actions have generally led to a higher use of outsourcing partners. Despite the policy driven headlines, Indegene witnessed its business pipeline to improve rather than weaken in the recent past.

Indegene-regulatory complexity as a moat builder

Rising regulatory complexity across major markets is not a headwind for Indegene but a demand generator. Five concurrent regulatory developments are expanding the addressable documentation, compliance, and validation workload that sits squarely within Indegene's core competency.

ICH E6(R3) (GCP): Finalized by ICH in January 2025 and rolling out through 2025–2026 (EU effective date 23-Jul-2025), the revised guideline pushes risk-based trial design, tighter electronic-data-capture standards, and stronger computerized-system validation. This mandates revision of investigator brochures, protocols, and submission packages industry-wide — a direct volume driver for Indegene's medical writing franchise.

EU IDMP / EVMPD: The Identification of Medicinal Products standard (EU Regulation 520/2012) and EudraVigilance Medicinal Product Dictionary require highly structured, standardized product-data submissions across Europe — an ongoing compliance burden well suited to platform-led documentation services.

UK MHRA post-Brexit divergence: MHRA's departure from EMA alignment since 2021, and the subsequent International Recognition Procedure, has created a parallel UK submission pathway — meaning sponsors now maintain two regulatory documentation tracks instead of one, structurally increasing per-asset workload.

FDA accelerated approvals & confirmatory trials: With numerous 2024 accelerated approvals and label expansions carrying stringent confirmatory-trial and post-approval evidence commitments, the

downstream documentation and evidence-generation burden extends well beyond initial approval — a durable, multi-year revenue tail per asset.

AI-in-drug-development guidance: Draft FDA and EMA guidance issued through 2024–2025 introduces new validation, documentation, and audit-trail requirements specifically for AI-enabled workflows in regulatory submissions — an emerging compliance category where Indegene's NEXT platform family, built with life-sciences-specific training and governance from inception, is positioned for native rather than retrofitted compliance. Each development independently expands per-asset regulatory workload; together, they compound. This reframes regulatory complexity from an industry cost center into a structural moat for specialized partners — favoring Indegene's domain-trained platforms over generic automation and reinforcing multi-year revenue visibility as compliance requirements ratchet upward across major markets.

Where regulation adds cost of pharma, it adds revenue for Indegene

Reform has already happened in US. Old rule (Tax Cuts and Jobs Act): US companies could not deduct R&D costs right away; they had to spread them out over 5 years (domestic) or 15 years (overseas). This made R&D more expensive on a cash-tax basis starting 2022. One Big Beautiful Bill Act (OBBBA), signed 4-Jul-2025, brought back immediate expensing for domestic R&D, permanently, starting from 2025. Companies can even catch up the R&D costs they had already deferred from 2022–24. Overseas R&D still has to be spread over 15 years that has not changed. Net effect of doing R&D inside the US is now meaningfully cheaper (tax wise) than doing it abroad, which nudges pharma companies to favour US-based research and, by extension, US-based service partners.

US tax reform (OBBBA) favors domestic R&D; UK's R&D credits sustain research activity, benefiting Indegene's UK expansion. India stays neutral. Overall, pricing pressure, regulatory complexity, and R&D shifts all continue driving more outsourcing demand toward Indegene.

UK is still an attractive place to do research. The UK updated its R&D tax credit in 2024 where companies get a 20% credit on qualifying spend, with extra support for smaller, research-heavy firms. This keeps pharma R&D activity flowing into the UK, which in turn keeps demand alive for regulatory support, medical writing, and clinical operations and Indegene has been actively expanding (London office, UK acquisitions) in this space. India remains broadly neutral for Indegene. India cut back some older R&D tax breaks but lowered the general corporate tax rate instead. Since Indegene is a global services exporter rather than an in-house R&D spender, this shift barely touches it. Company is benefited from standard corporate and export tax treatment. Separately, India's PRIP scheme (2023–2028) does not fund Indegene directly, but over time it should help

more biotech and specialty pharma companies take root in India. This is a slow, indirect boost to Indegene's future client pool.

Drug-pricing pressure pushes more work toward outsourcing. Regulatory complexity creates more compliance work. R&D tax rules mostly just a shift where companies choose to do research but that does not shrink the overall amount of work that needs outsourced services. All three trends point the same way for Indegene.

Specialized skills limits the GCC threat

GCCs start with easy work, not hard work. When a pharma company sets up a GCC, it does not begin by hiring regulatory writers or pharmacovigilance specialists. It starts with the easy stuff such as IT support, finance and accounting, HR operations, procurement, general back-office work. This is deliberate where a company hires generalist talent quickly and get them productive within weeks. Medical writing, regulatory affairs, clinical operations, and pharmacovigilance are extremely complex in nature and the talent pool is small. As a result, the learning curve is long, and getting something wrong can mean a regulatory rejection or a safety issue. No captive center builds this capability first. It's usually one of the last things they attempt, if they attempt it at all.

GCCs cannot hold on to specialist talent, and that helps Indegene. A 2025 study by CIEL HR found that talent retention is the single biggest headache for GCCs today. Around 51% of the captive centers (surveyed) flagged it as their top operational concern. GCCs across Bangalore, Hyderabad, Pune, and Gurugram, are all fishing from the same small pool of medical writers, biostatisticians, and regulatory specialists, and bidding each other's wages up. The original reason companies built GCCs are for cheaper talent than outsourcing, became irrelevant as wages rise and attrition stays high. Indegene, by contrast, has been doing this exact work for more than 25 years. It has established career paths, a platform-based way of working, and a reputation that helps it hold on to people GCCs are struggling to keep. In a tight specialist labour market, an experienced, stable employer has a real edge over a two-year-old captive team still figuring out its operating model.

GCCs are becoming customers, not competitors. Indegene's own case studies show pharma companies asking Indegene to help them build their GCCs and design the operating model, standing up specialist functions like forecasting, competitive intelligence, incentive compensation, and brand analytics, and then providing ongoing managed services once the

center is live. In other words, when a pharma company decides to build a captive center, it often turns to Indegene first to help set it up properly. That flips the entire threat narrative and GCC growth is generating additional demand for Indegene, not replacing it.

The next phase of GCC evolution needs specialist help even more. In an August 2025 report, Indegene laid out a thesis it calls "Rethinking Pharma GCCs" which explains the traditional old GCC playbook (centralize operations, get scale, save on labour cost) is running out of road. The next stage is not about cheaper headcount but automation and GenAI turning GCCs into "Functional Capability Centers". That transition requires exactly the kind of technology platforms, domain expertise, and implementation support that Indegene sells. So even as GCCs mature, they do not outgrow their need for a partner like Indegene but continue to need multiple supports from it.

GCCs typically start with easy back-office work, not specialist functions like medical writing or pharmacovigilance, which require deep expertise and long learning curves. GCCs also struggle to retain specialist talent, unlike Indegene's 25+ year track record. Many GCCs actually hire Indegene to help build and run their operations, turning a perceived threat into a customer opportunity. As GCCs evolve toward automation and AI, they need Indegene's platforms even more. Indegene's steady revenue-per-employee and expanding client base confirm GCC growth is helping, not hurting, its business.

Indegene has built more than 25 years of combined life-sciences expertise, AI platforms, and deep regulatory knowledge. It is not something a captive center can replicate quickly. To do it in-house, a pharma company would need to hire thousands of specialists across medical writing, pharmacovigilance, regulatory affairs, and biostatistics. It would also need to build its own AI platforms comparable to Indegene's Cortex and NEXT which requires a multi-year, capital-intensive effort coupled with a compliant frameworks combined with ISO 27001, HIPAA, GDPR, FDA rules, and dozens of country-specific regulatory regimes. Which is expensive, slow, and risky enough rather most companies would pay a specialist to do it.

Indegene employs roughly 5,300–5,500 people as of FY26 which looks like a typical IT-services headcount. But it actually hires medical writers with advanced scientific degrees, pharmacists and life-sciences experts in medical affairs, biostatisticians, clinical programmers, regulatory affairs professionals, pharmacovigilance specialists, and AI engineers trained specifically in healthcare. As a result, Indegene's revenue per employee was around USD 75k in FY26, well above the USD 50k to 65k typical of pharma-services peers. Recent acquisitions of Trilogy, BioPharm, WARN & Co., and Cake Kommunikations have added further specialist talent across Europe and the US which have further deepened its execution.

If the GCC threat were real and biting, we'd expect to see two things in Indegene's numbers (1) a steady decline in revenue per employee (suggesting pricing or mix pressure from in-house competition), or (2) the loss of large, multi-year contracts to newly built captive teams. Neither

shows up in the data. Revenue per employee has held up as an industry-leading metric, and the base of clients contributing meaningful annual revenue has expanded, not contracted. If anything, the operational trend runs the opposite way from what the bear case predicts.

The GCC story sounds scary if we only look at the big market-size number. But if we look closer at what kind of work GCCs actually do first, we can fairly understand that it would be difficult for them to keep specialist staff, and manage things in order. Finally, they end up hiring companies like Indegene to help set up and run these centers and the story changes completely. As more GCCs come up in India, the whole life-sciences talent and regulatory ecosystem gets bigger, some of these GCCs become Indegene's own clients, and Indegene's specialist workforce becomes more valuable, not less. Therefore, we see this as good news for Indegene's growth opportunity, not a risk to worry.

Exhibit 41: Recent strategic acquisitions

Year	Acquisition	Core Capability Added	Strategic Benefit
2024	Trilogy Writing & Consulting GmbH	Clinical, regulatory and medical writing	Strengthens Enterprise Medical Solutions and regulatory expertise
2025	MJL Communications Group	Healthcare communications and patient engagement	Expands commercialization and patient-centric capabilities
2025	BioPharm Communications	Omnichannel marketing, HCP targeting and media strategy	Strengthens commercial activation and data-driven marketing
2025	WARN & CO.	Transformation consulting and operating model redesign	Enhances consulting capabilities for enterprise transformation
2025	Cake Kommunikations Group (Cake Health)	Healthcare creative communications and local European market expertise	Strengthens European presence and integrated commercialization capabilities

Source: Company, IDBI Capital Research

Exhibit 42: Recent Deal bookings

Quarter	Deal ACV Range	Customer Description	Segment	Deal Description
Q1 FY26	Two deals (\$3M)		ECS	
	Four deals (\$1M-\$3M)		ECS; EMS	
Q2 FY26	Two deals (\$3M)	Big Pharma; Top 5 Client	ECS	Manage global omnichannel for HCP campaigns for a few years; Increased scope in existing global commercial operations
	Four deals (\$1M-\$3M)	Upcoming Biotech company; Medical Device Company; Top 10 Pharma company; Mid-sized Pharma	ECS; EMS	Various transformations and business tech implementation projects; For pharmacovigilance with a 3-year tenure; Scope expansion in existing medical operations; Supporting medical writing and submissions for biological license application for a slightly shorter duration
Q3 FY26	\$10M+	Top 10 Pharma company	ECS	Omnichannel orchestration for the whole of U.S. for a multiproduct portfolio on the back of Indegene's Invisage and BioPharm's Tandem, combining AI to boost prescription without reliance on on-the-ground sales team
	\$1M+	Top 10 Pharma company	ECS	Change management engagement for omnichannel operations from the same customer
	\$10M+	Emerging Pharma	ECS	Product launch covering various aspects of both commercial and medical services, consisting of three work orders
	\$5M	Mid-sized Biotech	ECS	\$20M TCV business consisting of 2 work orders for being an end-to-end commercialization partner. Gen AI is a key part of this partnership.
Q4 FY26	\$3M+	New Customer	Others (Clinical)	
	Three deals (\$1M+)	Top 20 Customers	ECS	
	Four deals (\$1M+)	Largest Customer; Mid-sized Pharma; Biotech; Upcoming Pharma	ECS; EMS	Tectonic engagement for Germany; Expansion of an existing Omnichannel project; Providing medical information services; Operationalize core digital commercial capabilities for new launch drug's pre and post launch activities

Source: Company, IDBI Capital Research

Risk Factors

- **Client Concentration**

Top-5 clients contribute approximately 45% of revenue per IPO-era disclosures; the largest client alone is expected to generate >USD 50mn in FY27 post the Tectonic Germany engagement ramp. Loss or scope reduction at any one of these accounts would have a material revenue impact.

- **Currency translation**

Approximately 66% of revenue is dollar denominated and ~25% Euro-denominated; Rupee appreciation against the USD would be a direct margin headwind, though partially offset by cost base (India). Rupee depreciation (likely scenario in current Trump tariff environment) is supportive.

- **Acquisition integration risk**

Three near-simultaneous acquisitions (BioPharm, WARN, Cake) in H2FY26 create execution risk on cultural integration, ERP/systems consolidation, and customer cross-sell. The Q4FY26 reported PAT decline of 32.2% YoY reflects one-time integration & TCPA costs; Trajectory of H1FY27 margin recovery is a key monitorables.

- **Talent inflation**

Indian life-sciences-specialized GenAI talent is scarce and salary expectations are rising. Wage inflation beyond ~6 to 8% would compress margins, which is likely to offset GenAI productivity leverage.

- **Regulatory and policy risk**

A sustained, severe contraction in global pharma R&D budgets in response to MFN/IRA viewed as low-probability considering the current funding trajectories that would eventually feed through to services demand. Tariffs on Indian services exports would directly affect economics.

- **Technology disruption**

A scenario in which general-purpose LLMs (GPT, Claude and Gemini) with its GenAI capabilities poses strong challenge to Indegene. These LLMs do not have the access to life-sciences-specific data, regulatory rule sets, and integration with pharma RIM/safety systems which Indegene has.

- **Promoter / private equity exit overhang**

Carlyle exited a substantial stake during FY26 (June 2025 block trade); residual private equity exits could create supply overhang. Block trade absorption has been orderly to date.

Financial analysis and Valuation outlook

The business is compounding fast, on a clean balance sheet. FY26 revenue came in at INR 35,105mn, up ~24% YoY, with Q4FY26 alone crossing INR 10,000mn for the first time & up 32.8% YoY. The company is debt-free, holds more cash than debt, and posts ROE near ~17% and ROCE near ~18% for FY26. Company focusing on healthcare services business, delivers strong numbers with very little capital tied up in plant or inventory. We believe that the growth is broad-based and not just a one-quarter blip. Large clients (those paying over USD 1mn/year) have grown materially to 53 over the last few years. North America contributes ~74% of revenue and is the fastest-growing region, while Enterprise Commercial Solutions (~72% of sales) is the main growth engine.

Indegene runs an asset-light, people-driven model, so its cost base is largely dependent on (1) technology platforms, (2) senior talent and (3) delivery infrastructure. That means each incremental rupee of revenue costs less to serve than the last, once the up-front investment is made. Revenue per employee has jumped from ~USD 56K to ~USD75K in three years, driven by of AI-led productivity gains. FY27E EBITDA margin does dip slightly to ~18.1% due to recent acquisition, followed by ~50bps expansion over FY28E. Indegene is front-loading investment in AI and technology where we see operating leverage rewarding later. FY28E margin is already projected to recover to ~18.6%, and ROCE keeps climbing (17.8% → 18.3% → 18.9% through FY26–28E) as the fixed investments get spread over a bigger revenue base. In short, near-term margin softness (visible in Q4FY26, where EBIT margin fell materially by 180bps YoY) is investment-related and not demand-related which will help expand future margin.

Indegene's FY26 revenue grew ~24% YoY, debt-free with ~18-19% ROCE. Growth is broad-based across large clients and North America. Margins dip near-term due to AI/tech investment but recover by FY28. Trading at ~18.4x FY28E EPS, we set a target price of INR 620, reflecting its unique, high-growth, pure-play positioning versus peers.

At this moment, the stock trades around INR 500-510, or about 30x trailing earnings but only ~21.4x FY27E EPS of INR 23.76 and ~18.4x FY28E EPS of INR 27.6. Apply a reasonable through-cycle multiple of ~22.5x which is below Indegene's own historical peak (34–43x in FY24–25) but sits above the current forward earnings to FY28E EPS, and we derived to a target price INR 620. We are simply asking the market to look two year further out, at a multiple the stock has comfortably supported before.

We firmly believe that the premium to its peers is fair as Indegene is essentially the only listed, pure-play company doing life-sciences commercialization, medical affairs, and regulatory work at scale. Its closest global rivals are EVERSANA and Syneos Health which are both private (Syneos went private in 2023 for ~USD 7.1bn). Accenture and Cognizant's life sciences units are just slices of much larger and slower growing IT companies. Indian IT-services peers trading in the range from high-teens to mid-30s P/E where as Indegene's 18%+ growth (CAGR FY26–28E), expanding client base, and improving capital efficiency justify sitting toward the low-mid 20s of that range.

Exhibit 43: Key personnel management

Key Managerial Personnels	Designation/Role	About
Mr. Manish Gupta	Chairman, Executive Director and CEO	Manish holds a bachelor of technology degree in mechanical engineering from the Indian Institute of Technology (Banaras Hindu University), Varanasi and a post-graduate diploma in management from the Indian Institute of Management, Ahmedabad. He has 29 years of experience in technology-led healthcare solutions provider sector.
Dr. Sanjay Suresh Parikh	Executive Director	Dr. Sanjay holds a bachelor of technology degree in electrical engineering from the Indian Institute of Technology, Bombay and a master of science degree (clinical engineering) from the Case Western Reserve University, Ohio, USA. He also holds a doctorate in philosophy from the Johns Hopkins University. He has 30 years of experience in pharmaceuticals industry and technology-led healthcare solutions provider sector.
Mr. Suhas Prabhu	Chief Financial Officer	Suhas holds a bachelor's degree in commerce from Mangalore University. He is a member of the Institute of Chartered Accountants of India. He has 20 years of experience in finance. Prior to joining Indegene Ltd., he was associated with Sasken Communication Technologies Limited.
Ms. Srishti Ramesh Kaushik	Company Secretary and Compliance Officer	Srishti holds a bachelor's degree in commerce from Bangalore University. She has 13 years of experience as a company secretary. Prior to joining Indegene Ltd., she was associated with Paramount Cosmetics (India) Private Limited.
Dr. Ashish Gupta	Independent Director	Dr. Ashish holds a bachelor of technology degree in computer science and engineering from the Indian Institute of Technology, Kanpur where he received the president's gold medal on being adjudged as the best outgoing undergraduate student in 1988. He is a doctor of philosophy in computer science from the Leland Stanford Junior University, California. He has several years of experience in information technology. He is also an independent director on the board of Info Edge (India) Limited since 2017.
Mr. Jairaj Manohar Purandare	Independent Director	Jairaj holds a bachelor of science degree from the University of Bombay. He is a qualified chartered accountant. He has several years of experience in taxation. Previously, he was an Executive Director at PricewaterhouseCoopers Private Limited where he was member of the India leadership team as markets and industries leader and western India region managing partner and has been the chairman of Ernst & Young LLP. He is a member of the YPO Gold Mumbai Chapter. He was a member of Central Direct Taxes Advisory Committee of the Government of India constituted in 2008.
Mr. Pravin Udhyavara Bhadya Rao	Independent Director	Pravin holds a bachelor of engineering degree from the Bangalore University. He has 35 years of experience in the information technology sector. Previously, he was the chief operating officer at Infosys Limited.
Mr. Krishnamurthy Venugopala Tenneti	Independent Director	Krishnamurthy holds a bachelor of technology degree in electrical engineering from the Indian Institute of Technology, Madras and a post graduate diploma in business administration from the Indian Institute of Management, Ahmedabad. He has been an advisor to the board of ANI Technologies Private Limited since 2017 and has experience in management advisory.
Dr. Georgia Nikolakopoulou Papathomas	Independent Director	Georgia holds a bachelor of science degree from the Columbia University. She also holds a master's degree in philosophy, master's degree in science and is a doctor of philosophy from the Columbia University, New York, USA. In the past, she has worked at Johnson & Johnson and she has experience in the pharmaceutical industry. She is a member of The Scientific Research Society of North America, Columbia University chapter.

Source: Annual Report, IDBI Capital Research

Exhibit 44: Top ten shareholders

Particulars	No. of shares held	% of Shareholding
Nadathur Fareast Pte Ltd	52,700,256	21.87 %
Manish Gupta	21,474,076	8.91 %
Nair Rajesh Bhaskaran	17,201,536	7.14 %
BPC GENESIS FUND I SPV LTD	13,862,223	5.75 %
Sanjay S Parikh	12,008,172	4.98%
BPC Genesis Fund I-A Spv Ltd	7,190,225	2.98 %
Gaurav Kapoor	6,266,736	2.60 %
GOVERNMENT PENSION FUND – GLOBAL	6,150,000	2.55 %
Sundaram MF	5,853,249	2.43 %
Vida Trustees Pvt Ltd	5,588,802	2.32 %

Source: Bloomberg, IDBI Capital Research

Financial Summary

Profit & Loss Account

(Rs mn)

Year-end: March	FY23	FY24	FY25	FY26	FY27E	FY28E
Net sales	23,061	25,896	28,393	35,105	44,165	49,091
<i>Change (yoy, %)</i>	38.5	12.3	9.6	23.6	25.8	11.2
Operating expenses	(19,100)	(20,844)	(23,050)	(28,767)	(36,489)	(40,282)
EBITDA*	3,961	5,355	5,622	6,793	7,984	9,153
<i>Change (yoy, %)</i>	38.1	35.2	5.0	20.8	17.5	14.6
<i>Margin (%)</i>	17.2	20.7	19.8	19.4	18.1	18.6
Depreciation	(598)	(761)	(802)	(1,264)	(1,148)	(1,035)
EBIT	3,363	4,594	4,820	5,529	6,836	8,118
Interest paid	(313)	(492)	(220)	(193)	(265)	(344)
Other income	582	461	793	116	883	982
Pre-tax profit	3,632	4,563	5,393	5,452	7,455	8,756
Tax	(969)	(1,219)	(1,326)	(1,239)	(1,780)	(2,145)
<i>Effective tax rate (%)</i>	26.7	26.7	24.6	22.7	23.9	24.5
Minority Interest	-	-	-	-	-	-
Net profit	2,663	3,344	4,067	4,213	5,674	6,611
Exceptional items	-	24	-	(203)	-	-
Adjusted net profit	2,663	3,368	4,067	4,010	5,674	6,611
<i>Change (yoy, %)</i>	130	26	21	(1)	42	17
EPS	12.0	15.2	17.0	16.7	23.7	27.6
Dividend per sh	-	-	-	2.0	2.3	2.8
<i>Dividend Payout %</i>	-	-	-	12	10	10

Balance Sheet

(Rs mn)

Year-end: March	FY23	FY24	FY25	FY26	FY27E	FY28E
Shareholders' funds	10,638	14,291	26,156	31,387	36,522	42,452
Share capital	443	444	479	481	481	481
Reserves & surplus	10,195	13,847	25,677	30,906	36,041	41,971
Total Debt	5,025	4,896	1,016	1,444	1,444	1,444
Other liabilities	1,365	638	149	2,031	2,031	2,031
Curr Liab & prov	5,011	5,631	5,938	11,341	11,470	11,686
Current liabilities	4,166	4,521	4,676	9,670	9,799	10,015
Provisions	845	1,110	1,262	1,671	1,671	1,671
Total liabilities	11,401	11,165	7,103	14,816	14,945	15,161
Total equity & liabilities	22,039	25,456	33,259	46,203	51,467	57,613
Net fixed assets	3,380	3,128	3,247	6,891	5,944	5,109
Investments	-	135	-	-	-	-
Other non-curr assets	4,172	4,285	4,712	13,128	13,128	13,128
Current assets	14,487	17,908	25,300	26,184	32,396	39,377
Inventories	-	-	-	-	-	-
Sundry Debtors	6,420	6,480	7,514	9,818	12,100	13,450
Cash and Bank	858	1,910	3,746	3,819	5,249	5,880
Loans and advances	7,209	9,518	14,040	12,547	15,046	20,047
Total assets	22,039	25,456	33,259	46,203	51,467	57,613

Cash Flow Statement

(Rs mn)

Year-end: March	FY23	FY24	FY25	FY26	FY27E	FY28E
Pre-tax profit	3,632	4,563	5,393	5,452	7,455	8,756
Depreciation	598	761	802	1,265	1,148	1,035
Tax paid	(1,082)	(1,249)	(1,600)	(1,476)	(1,780)	(2,145)
Chg in working capital	(2,160)	958	241	1,462	(2,153)	(1,134)
Other operating activities	316	21	(417)	8	(618)	(638)
Cash flow from operations (a)	1,304	5,077	4,419	6,508	4,051	5,874
Capital expenditure	(122)	154	186	(317)	683	782
Chg in investments	(8,811)	(3,426)	(7,013)	(4,807)	(2,500)	(5,000)
Other investing activities	-	-	-	-	-	-
Cash flow from investing (b)	(8,933)	(3,272)	(6,827)	(5,124)	(1,817)	(4,218)
Equity raised/(repaid)	-	-	7,327	53	-	-
Debt raised/(repaid)	3,761	(67)	(4,031)	-	-	-
Dividend (incl. tax)	-	-	-	(480)	(539)	(681)
Chg in minorities	-	-	-	-	-	-
Other financing activities	(430)	(595)	(421)	(399)	(265)	(344)
Cash flow from financing (c)	3,331	(662)	2,875	(826)	(804)	(1,025)
Net chg in cash (a+b+c)	(4,298)	1,143	467	558	1,430	631

Financial Ratios

Year-end: March	FY23	FY24	FY25	FY26	FY27E	FY28E
Book Value (Rs)	48.0	64.4	109.2	130.9	152.3	177.1
Adj EPS (Rs)	12.0	15.2	17.0	16.7	23.7	27.6
Adj EPS growth (%)	(98.2)	26.2	11.9	(1.5)	41.5	16.5
EBITDA margin (%)*	17.2	20.7	19.8	19.4	18.1	18.6
Pre-tax margin (%)	15.7	17.6	19.0	15.5	16.9	17.8
Net Debt/Equity (x)	0.4	0.2	(0.1)	(0.1)	(0.1)	(0.1)
ROCE (%)	25.8	24.9	20.4	17.8	18.3	18.9
ROE (%)	29.1	27.0	20.1	13.9	16.7	16.7

DuPont Analysis

Asset turnover (x)	1.3	1.1	1.0	0.9	0.9	0.9
Leverage factor (x)	1.9	1.9	1.5	1.4	1.4	1.4
Net margin (%)	11.5	13.0	14.3	11.4	12.8	13.5

Working Capital & Liquidity ratio

Inventory days	0	0	0	0	0	0
Receivable days	102	91	97	102	100	100
Payable days	14	21	15	23	19	19

Valuations

Year-end: March	FY23	FY24	FY25	FY26	FY27E	FY28E
PER (x)	42.3	33.5	29.9	30.4	21.5	18.4
Price/Book value (x)	10.6	7.9	4.7	3.9	3.3	2.9
EV/Net sales (x)	5.1	4.5	4.2	3.4	2.7	2.4
EV/EBITDA (x)	29.5	21.6	21.2	17.6	14.8	12.8
Dividend Yield (%)	0.0	0.0	0.0	0.4	0.4	0.6

Source: Company; IDBI Capital Research; (*Adjusted EBITDA/Margin)

SAPTARSHI MUKHERJEE

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Key to Ratings Stocks:**BUY:** 15%+; **HOLD:** -5% to 15%; **SELL:** -5% and below.**IDBI Capital Markets & Securities Ltd.****Equity Research Desk**

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